Lecture 1 – What is Public Policy and Why Should We Care?

1. What is Public Policy?

Public policy can be understood as what governments choose to do or not to do about public problems. This definition emphasizes that **inaction is also a form of policy**: when governments decide not to regulate emissions, not to provide childcare, or not to intervene in markets, they are still making a decision that shapes outcomes in society.

Policies are not simply technical solutions; **they are** the outcome of a political process that involves both **cooperation** and **bargaining**. Policy-making always happens within a contested space where multiple actors try to influence decisions.

The study of **policy focuses** on:

a) **Polity**: the **institutional framework** of a political system, such as whether it is a parliamentary or presidential democracy, whether it has a unicameral or bicameral legislature, or whether constitutional review exists. These rules shape how policies can be made.

b) **Politics**: the **process** of decision-making under conditions of conflict and scarcity. Harold Lasswell famously captured this dynamic with the phrase "who gets what, when, how." Politics reflects the struggles among individuals and groups over limited resources, influence, and recognition.

c) **Policy**: the **outputs** of the political system, meaning the actions and non-actions governments take. These include laws, regulations, administrative guidelines, and programs.



This triad highlights that to understand policy, one must look at institutions (polity), processes (politics), and substance (policy) **together**. **Otto von Bismarck's** quote that *"laws are like sausages, it is better not to see them being made"* reflects the often **messy and conflictual** reality of how policies emerge.

2. Key Dimensions of a Public Policy

1) A **general rule** – applied to public issues, not just individual cases.
2) Linked to **action or intervention** – about what governments actually do (implementation, not only planning).
3) Initiated/enforced by **legitimate power** – government, legislature, courts, bureaucracy.
4) Made through a **process and instrument** – specific mechanisms, often but not always public.
5) Has a clear **objective and impact** – goals and measurable effects, subject to evaluation.

3. Outputs, Outcomes, and Impacts

Another important distinction is between the different **stages of policy results**:

- **Output** is the immediate product of decision-making (such as passing a tariff law or introducing a subsidy).
- **Outcome** refers to the reactions of those targeted by the policy (such as firms shifting supply chains in response to tariffs).
- **Impact** captures the long-term changes in society or behavior (for example higher consumer prices or the reshoring of industries due to tariffs).

The example of Donald Trump's tariffs illustrates how these layers differ and how perspectives vary: to steelworkers, tariffs might seem like a good policy outcome because they protect jobs, but to consumers, the long-term impact of higher prices makes them a bad policy.

4. Justifying Public Policy

Governments intervene in society for three broad **reasons**:

a) **Political reasons**: Governments act because citizens, interest groups, or social movements demand it. Examples include the LGBT rights movement, the anti-nuclear movement in the 1980s. Sometimes international or regional pressures, such as Europeanisation or global agreements, push governments to act as well.

b) **Moral reasons**: Governments may act because they believe they have an obligation, even if citizens do not demand it. Examples include providing disaster relief, establishing basic social security, or offering military support to Ukraine. These decisions rest on normative judgments about what is right or just.

c) **Economic reasons**: Governments often act to address market failures. Classic examples include:
   - **Lack of competition** – monopolies or oligopolies reduce efficiency and fairness;
   - **Information asymmetries** – one party in a transaction knows much more than the other, as in financial markets or healthcare;
   - **Externalities** – costs or benefits spill over to others, such as pollution or vaccinations;
   - **Public goods** – goods that are non-rival and non-excludable, such as clean air or national defense;

5. Equalitarian Outcomes and the Trickle-Down Effect

When governments intervene, the **distribution of benefits** often follows different logics:

- An **equalitarian outcome** occurs when resources are distributed more equally across society. An example is universal healthcare, which ensures access regardless of income.
- The **trickle-down effect** describes policies where benefits are concentrated at the top, with the expectation that gains will eventually spread to others. A common example is corporate tax cuts, justified on the grounds that they stimulate investment and job creation.

These two approaches reflect very different ideologies of **fairness and justice**. They also highlight that all policies create winners and losers, even if the distributional consequences are not always visible at first

6. Typologies (Classifications) of Public Policy

1) **By policy fields** – grouped by sector, e.g. fiscal, environmental, health, energy, education.
2) **By political ideology** – reflects values and worldviews, e.g. *progressive* vs. *conservative*, *isolationist* vs. *open*.
3) **By instruments** – the concrete **tools governments use**:
   - **Regulation** – decrees and rules to require or forbid behavior (e.g. environmental laws, safety standards);
   - **Government management** – direct provision of services and resource management (e.g. education, defense, municipal services);
   - **Education, information, persuasion** – informing or nudging citizens (e.g. disaster relief appeals, nutrition labels);
   - **Taxing and spending** – allocation or collection of money to achieve goals (e.g. Social Security, cigarette tax);
   - **Market mechanisms** – using incentives through markets (e.g. carbon tax, energy efficiency labeling).

   ↳ This connects with **Hood & Margetts' NATO scheme**: nodality (information), authority (law), treasure (money), organization (direct provision).
4) **By governance principles** – based on which resource or logic is used: persuasion, authority, money, or state provision.
5) **By intensity of political conflict** – some policies are low conflict (distributive, e.g. subsidies), others high conflict (redistributive, e.g. welfare, taxation).
   This links to **Lowi's typology**.

Hood & Margetts' Policy Typology
Classification by leveraged resources & governance principles

Governance principle	Nodality	Authority	Treasure	Organisation
Basic Resource	Information	Law	Money	Structures and capacity
Governance logic	Indirect stimulation of behavioural change through information and persuasion	'Command-and-control', direct prescription of behavioural rules	Indirect stimulation of behavioural change through financial incentives	Provision of public goods by the state or public enterprise
Typical instruments	Information campaigns, research funding, nudges?	Prohibitions, bans, permits, standards, certifications	Taxes, user charges, grants, tax deductions	Public companies

- **Nodality**: Uses information campaigns and education to indirectly influence behavior (e.g., health awareness programs).
- **Authority**: Relies on laws and regulations to directly control behavior (e.g., safety standards, mandatory schooling).
- **Treasure**: Uses financial resources like taxes, grants, or subsidies to incentivize specific behaviors (e.g., tax credits for renewable energy).
- **Organization**: Directly provides goods or services through government agencies (e.g., public schools, national defense)

Lowi's Policy Typology
Classification by the intensity of political conflict

Likelihood for political conflict / scope of policy	**Individual (direct)**	**Environment (general)**
Low Conflict (low/indirect coercion, low public salience)	*Distributive policy* (e.g. subsidies, 'pork barrel' policies)	*Constituent policy* (e.g. creation of new agencies, change of voting procedures)
High Conflict (high/direct coercion, high public salience)	*Regulatory policy* (e.g. safety rules, environmental protection, cunsumer protection)	*Redistributive policy* (e.g. progressive taxation, territorial reform, welfare policies)

Policies differ in the level of political conflict they generate:

- **Low Conflict**: Includes policies like subsidies, which don't heavily impact any one group.
- **High Conflict**: Regulatory or redistributive policies often lead to higher conflict, as they impose rules or redistribute wealth, impacting public and private interests directly.

7. Policy-Making as Problem-Solving

A **social problem becomes a policy problem** when elites decide to treat it as one. Since there are always more problems than resources, issues must **compete for attention** in the policy process. Sometimes problems are even **strategically created** to serve political interests.

Once a problem is recognized, it rarely disappears. **Policy problems often persist** because they create their own constituencies that keep them alive, and even when resolved, they tend to **generate new issues**. For instance, improving the health of the elderly may lead to new pension-related challenges.

Different models try to explain how policies are made:

a) The Rationalist Model (Policy Cycle)

The rationalist approach views policy-making as a **logical, sequential process** of problem-solving – often described as the **policy cycle**, which assumes that policy **follows ordered stages**:

- **Agenda-setting** – Why are certain problems chosen while others are ignored?
- **Policy formulation and adoption** – How are decisions made and which alternatives are selected?
- **Implementation** – Why do some policies fail or succeed in practice?
- **Evaluation** – Which factors explain differences in policy effects?
- **Maintenance, succession, or termination** – What happens after evaluation: is the policy continued, changed, or abolished?

Although this model simplifies reality, it remains a useful **heuristic** for understanding the stages of the policy process.

Lasswell 1956: policies evolve along stages that form a logical sequence.
This approach envisions policy-making as a **logical sequence**:

- **Intelligence**: Gather all relevant information.
- **Promotion**: Identify and select appropriate policy tools.
- **Prescription**: Make a binding decision.

- **Invocation**: Enforce the decision.
- **Termination**: Decide if/when to end the policy.
- **Appraisal**: Evaluate the policy's effectiveness.

b) Incrementalism

Policy-making is not a rational process: it is dependent on a complex interplay of various actors and can therefore only evolve incrementally.
Incrementalism, described by **Charles Lindblom** as the *"science of muddling through,"* emphasizes that decision-making is bounded by limits of rationality.
Bounded Rationality: This concept, introduced by Herbert Simon, is crucial in understanding why policy-making is not fully rational. Bounded rationality suggests that decision-makers operate under constraints that limit their ability to gather and process all relevant information. These constraints include:

- **Resource Availability**: Policymakers must consider limited budgets and resources, which are often subject to political shifts and external influences.
- **Policy Instruments**: The full range of tools or technologies available to implement policies is often not fully known or accessible.
- **Political Feasibility**: Policymakers need to gauge whether a particular policy will gain public and political support, but such information is often incomplete or costly to obtain.
- **Ranking Policy Goals**: Determining the appropriate order of priorities is difficult, especially when new or changing societal values emerge. Policymakers may not have a clear understanding of which goals should be prioritized.

As a result, they make small adjustments to existing policies rather than radical reforms. Incrementalism reflects **realistic problem-solving**, where change is gradual, negotiated, and often shaped by compromise.

c) The Garbage Can Model

The Garbage Can model (Cohen, March, Olsen) portrays policy-making as a form of **non-rational problem-solving**. Problems, solutions, and decision-makers often exist independently, and decisions happen when these streams **accidentally coincide**. It is therefore often *random whether a solution "sees the daylight"*.
This model **highlights** the role of **chance, timing, and institutional complexity**, showing that policy outcomes are not always the result of deliberate planning but of temporary alignments and opportunity windows.

8. Why Should We Care About Public Policy?

Policies are unavoidable. Markets, firms, and individuals do not operate in isolation, but within frameworks established by governments. Even those who oppose state action cannot escape its consequences.

The lecture emphasized: "If you don't do public policy, public policy does you." In other words, ignoring policy is not an option – it shapes our daily lives. For business leaders, citizens, and policymakers alike, understanding public policy is essential for recognizing when government action improves outcomes, when it fails, and how it could be done differently.

Lecture 2 – Key Institutions & Actors

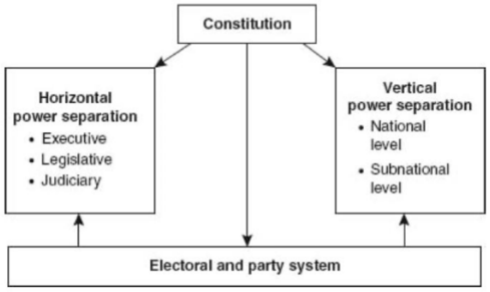
1. Institutions vs. Actors

Institutions are the **rules of the game** that structure political behavior. They include **informal constraints** – such as sanctions, taboos, customs, traditions, and codes of conduct – and **formal rules** – like constitutions, laws, and property rights.
Institutions reduce uncertainty by creating a stable (though not always efficient) structure for **human interaction**, meaning how individuals, organizations, and governments coordinate, cooperate, and compete.

Actors are individuals, organizations, corporations, or collective entities with specific policy preferences. They seek to achieve their goals by participating in and influencing policy-making.

2. The Constitution and the Polity Configuration

The Constitution
Determines a state's polity configuration ("models" of democracy)



The **constitution** determines the **horizontal division of power** among the executive, legislature, and judiciary. These **branches** define how authority is shared and checked within a political system:

- **Executive:** Manages the bureaucracy and implements policy. In practice, it also proposes and formulates policies. The degree of executive power varies across systems.
- **Legislature:** Makes and legitimizes laws, can play a role in choosing the head of government, and may be unicameral (one chamber – single legislative body) or bicameral ('lower' and 'upper house').
- **Judiciary:** A hierarchical system of courts with a supreme or constitutional court in the top. It applies laws, resolves disputes, and can review constitutionality. Though formally independent, it can influence policy through rulings and interpretations.

3. Executive–Legislative Relations

Two main classifications describe how democracies distribute power and responsibility:

- **Presidential vs. Parliamentary systems** – who governs, how powers are separated, and where political responsibility lies.
- **Majoritarian ("Westminster") vs. pus systems** – how power and participation are distributed, and how interest-group pluralism is managed.

Feature	Presidential System	Parliamentary System
Separation of powers	Clear separation between executive and legislature.	Fusion of powers — the executive comes from the legislature.
Head of government	The **President** is both **head of state** and **head of government**.	The **Prime Minister** (or Chancellor) is head of government; the **President/Monarch** (if any) is head of state.
How leader is chosen	President is **directly elected** by the people.	Prime Minister is **chosen by the parliament** (usually leader of the majority party or coalition).
Accountability	President serves a **fixed term**; cannot be easily removed by legislature (except via impeachment).	Prime Minister and Cabinet are **politically accountable to parliament**; can be removed by a **vote of no confidence**.
Examples	United States, Brazil, Mexico.	United Kingdom, Germany, Lithuania, Sweden, Spain.

Feature	Majoritarian (Westminster)	Consensus
Power concentration	Power is **concentrated** in the majority party and government.	Power is **shared** among multiple parties and institutions.
Party system	Usually **two-party** dominant.	Usually **multi-party** and coalition governments.
Elections	**Majority (majoritarian) electoral system** — the winning candidate must get **more than 50% of votes** (either in one round or after a runoff). This system tends to favor larger parties and produce stable, single-party governments.	**Proportional representation (PR)** — seats in parliament are distributed according to each party's share of the vote, leadi fairer but more coalition-based outcomes.
Interest group system	**Pluralist** — many competing groups, little formal coordination.	**Corporatist** — structured negotiation between government, and employer groups.
Policy-making style	**Adversarial and centralized.**	**Negotiated and consensus-oriented.**
Examples	United Kingdom, Canada (Westminster model).	Netherlands, Germany, Sweden, Austria (Consensus model).

4. Westminster (Majoritarian) Model

The **Westminster model** concentrates power in the executive and favors quick, decisive government.

Key **features**:

- **One-party cabinets** with strong cabinet dominance.
- **Two-party system** and **majoritarian or disproportional elections**.
- **Interest-group pluralism** – many groups compete independently for influence.
- **Unitary and centralized government**, usually **unicameral** (UK is an exception).
- **Flexible constitution**, **no judicial review**, and **low central bank independence**.
  (Lijphart, ch.1)

This model favors **efficiency and accountability**, but often limits representation and inclusiveness.

5. Consensus Model

The **consensus model** disperses power more widely and emphasizes negotiation and inclusion.

Key **features**:

- **Broad coalition cabinets** and **balance between executive and legislature**.
- **Multiparty system** with **proportional representation (PR)**.
- **Interest-group corporatism** – organized cooperation between key groups (employers, unions).
- **Federal or decentralized structure**, often with **strong bicameralism**.
- **Rigid constitution**, **judicial review**, and **independent central bank**.
  (Lijphart, ch.2)

Consensus systems are slower and more complex but aim for **stable, representative, and negotiated policymaking**.

6. Relationship Between Cabinet Type and Executive Dominance

Empirical data show that **broader coalition executives correlate** with **lower executive dominance** ($r = 0.78$, $p < .01$). This means that when the executive includes a wider range of political parties or interests, power becomes more balanced across branches, especially between the **executive and the legislature**.

A more diverse executive must negotiate and compromise more often, leading to **more proportional and inclusive decision-making** within the political system.

Lijphart's conclusion:
"Polity shapes policy." Consensus democracies generally **outperform Westminster systems** in policy effectiveness**,** governance quality**,** democratic representation, and the **kindness or gentleness** of policy orientation.
Their decision-making is slower and more inclusive, but **not less stable**.

7. The Executive as a Public Policy Actor

The **executive consists** of the head of government (prime minister, chancellor, or president) and the cabinet ministers. It plays a central role in the policy process, especially in policy formulation.

1) **Structure and principles**
   - Two rival principles define how cabinet ministers operate:
     • **Principle of collective responsibility** – all ministers publicly support cabinet decisions.
     • **Principle of ministerial autonomy** – each minister manages their own portfolio independently.
   - Cabinets must be either **supported** (by a minimal-winning or oversized coalition) **OR tolerated** (as a minority government) by a parliamentary majority.
     The toleration condition is less relevant in presidential systems, where the executive and legislature are separately elected.
2) **Role in the policy process**
   - The **executive is crucial** during policy formulation, particularly in **parliamentary systems**, where most policy proposals originate from the cabinet.
   - It relies heavily on **ministerial bureaucracies** for expertise, drafting, and implementation.
   - This dependence **encourages close ties between** government officials and private-sector or interest-group representatives, forming policy communities, **iron triangles** (stable alliances between bureaucrats, legislators, and interest groups), and **issue networks** (more fluid and open coalitions of actors – officials, experts, NGOs – collaborating on specific policy issues) that link politicians, civil servants, and organized interests.
   - Through its **managerial oversight** of the bureaucracy, the executive exercises significant **discretionary power** – meaning it can influence and steer nearly all stages of the policy process.

8. The Bureaucracy as a Policy Actor

The **bureaucracy** enjoys a degree of **"embedded autonomy"** – it is part of society but operates with independence from direct political or social pressures. Its **classical role** is to implement (execute) public policies, but its **knowledge and expertise** also allow it to influence agenda-setting and policy formulation.

There are two **main types of bureaucracies**:

- **Implementing (street-level) bureaucracy**, which applies policy directly to citizens (e.g. teachers, police officers, social workers).
- **Ministerial bureaucracy**, which advises ministers, drafts laws, and manages the details of policy design.

The bureaucracy is often called the **"engine room"** of government – without it, neither the executive nor the legislature could function effectively. As **Page and Jenkins (2005)** note, policy-making happens "*with a cast of thousands*," as (mid-ranking) bureaucrats draft proposals and maintain constant contact with experts and stakeholders.
Personal **networks between bureaucrats and stakeholders**, both domestic and international, are essential for shaping and coordinating policy.

This raises **two major questions**:

1. What determines the effectiveness of bureaucracy?
2. When does bureaucratic influence undermine democratic governance?

9. Weber's Ideal Type of Rational Bureaucracy

Max Weber (1864–1920) described bureaucracy as a key marker of the **modern capitalist state** and the purest form of "legal-rational" legitimacy – one of three **types of legitimate authority**:

1. **Legal-rational legitimacy** – rule based on formal laws and impersonal rules.
2. **Traditional legitimacy** – based on custom and heritage.
3. **Charismatic legitimacy** – based on personal authority and leadership.

A **legal-rational bureaucracy** operates through a professionalized, rule-based, and hierarchical system. According to Weber, **effective bureaucracy is defined by ten principles**:

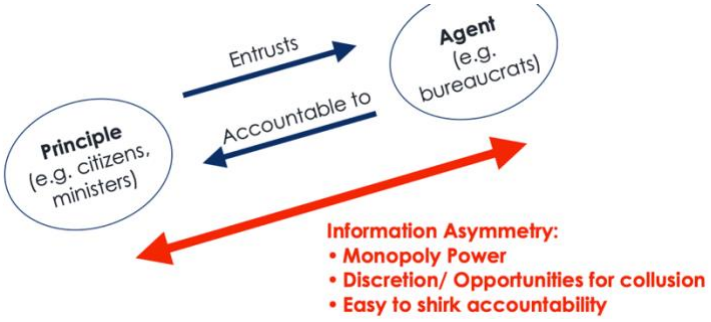
1) Officials are **personally free** and subject only to official duties.
2) They operate within a **fixed hierarchy**.
3) They have **clearly defined competences**.
4) They are **appointed by contract** based on qualifications.
5) They hold **specialized expertise**.
6) They receive **fixed salaries** and pensions.
7) Their **official position** is their main occupation.
8) They pursue a **career** with promotion based on merit or seniority.
9) They maintain **separation between office and private interests**.
10) They are bound by **discipline and supervision**.

This model ensures **efficiency, predictability, and impartiality**, but can also lead to rigidity and detachment from political or public control.

10. Bureaucratic Politics and Principal–Agent Problems

In modern governance, bureaucrats **act as agents**, entrusted by **principals** (citizens, ministers, parliaments) to implement policy.
However, **information asymmetry** creates tension: bureaucrats often know more than their political superiors. This **can lead to:**

- **Monopoly power** within administration,
- **Discretion** and opportunities for **collusion**,
- And **shirking of accountability** (bureaucrats not fully doing their job, knowing they won't be caught).



These are known as **principal–agent problems** – when bureaucrats act in their own interest rather than that of elected officials or the public.
Such problems threaten both **democratic legitimacy** and **policy innovation**, as excessive bureaucratic control can hinder responsiveness and reform.

Principle-agent theory as an impulse for new managerial principles in the government-bureaucracy relationship:
– Serious economic crises in the 1970s and 1980s.
– Thatcher's and Reagan's neoliberal economic policies
– Collapse of the USSR.

11. New Public Management (NPM)

In response to these challenges, **New Public Management** emerged in the 1980s–1990s, **influenced by neoliberal reforms** (Thatcher, Reagan) and economic crises. It sought to make public administration more efficient by borrowing ideas from the private sector.

NPM emphasizes:

- **Incentives, competition, and performance measurement** instead of rigid rule-based systems (Weberian rule-based bureaucracy).
- Use of **market-inspired instruments**:
    a) **Contracting-out** – governments hire private firms to deliver services instead of providing them directly.
    b) **Privatisation** – selling state-owned enterprises or forming **public–private partnerships** to increase efficiency.
    c) **Quasi-markets** – introducing competition between public agencies or service providers to improve performance.
    d) **Civil service reform** – focusing on **service quality**, **autonomy**, and separating **policy-making** from **implementation** to make administration more flexible and results-oriented.

However, while aiming to improve efficiency, NPM often created new risks – such as **corruption, fragmentation**, and an increased need for **regulation** to maintain accountability.

12. Key Takeaways

1) Public policy is best understood as a **rationalist problem-solving process**, typically studied through the **policy cycle** but also criticized by **incrementalists** and **garbage can** theorists.
2) **Polity** (institutional structure) shapes both **politics** and **policy outcomes**, with differences between **presidential vs. parliamentary** and **Westminster vs. consensus** systems.
3) **Consensus democracies** reflect a **broader range of actors** and produce more inclusive, negotiated policymaking.
4) **Westminster democracies** often favor **more centralized and adversarial** policymaking styles.
5) The **executive's control over the bureaucracy** grants it **enormous discretionary power**, reinforcing its central role in every stage of the policy process.

Reading #2

A) How Institutions Shape Actors and Decision-Making

1. What institutions actually do

The chapter stresses that institutions do not only *limit* behavior—they also **enable and guide** it. They set the **incentive structures** that make some strategies more attractive than others.
For example, proportional-representation systems reward **coalition-building**, whereas first-past-the-post systems reward **strategic concentration** of votes. So institutions channel how rational actors pursue their goals.

2. Veto points and transaction costs

Every institutional design creates **veto points**—locations where policy can be blocked or amended—and shapes **transaction costs**, the costs of bargaining and implementation.
Systems with **many veto players** (federal, bicameral, coalition-based) have **high transaction costs** but also more stability and inclusiveness. Systems with few veto players act faster but risk volatility.

3. Policy actors beyond the "big three"

Knill & Tosun emphasize how **non-state actors** have become integral to policymaking:

- **Interest groups** provide expertise and mobilize constituencies but can suffer from the **collective-action problem** (Olson): larger, diffuse interests are harder to organize than narrow ones.
- **Corporatist systems** (e.g., Austria, Scandinavia) institutionalize cooperation between government, unions, and employer associations, while **pluralist systems** (e.g., US, UK) keep **lobbying** (attempts to persuade politicians or bureaucrats to support policies that benefit a specific group) more competitive and fragmented.
- **Experts and epistemic communities** influence technical policy areas (environment, health). Their authority rests on **consensus within their professional field**, not on electoral legitimacy.

4. International and supranational influence

A modern addition absent from your slides is **international institutions as rule-makers**:

- **Supranational** organizations (EU) can legislate directly over member states.
- **Intergovernmental** bodies (UN, WTO, IMF) constrain through treaties, peer review, and conditionality.
  This means domestic policy often operates within **nested institutions**, where sovereignty is shared across levels—a point linking to *vertical power divisions*.

B) The Bureaucracy and Efficiency Criteria

1. Why bureaucracies vary

Knill & Tosun show that **administrative traditions** (Anglo-Saxon, Napoleonic, Germanic, Scandinavian) explain differences in bureaucratic **autonomy**, **capacity**, and **political control**.

- **Anglo-Saxon**: pragmatic, managerial, high turnover, less formal hierarchy.
- **Continental (Napoleonic/Germanic)**: legalistic, career civil service, emphasis on rule of law and continuity.
- **Nordic**: consensus-oriented, socially embedded civil servants with high trust.

These traditions influence whether bureaucrats act mainly as **neutral implementers** or as **policy advisors and initiators**.

2. Bureaucratic effectiveness beyond Weber

Knill & Tosun operationalize bureaucratic efficiency through **three criteria**:

1. **Capacity** – resources, skills, and coordination ability.
2. **Autonomy** – insulation from political interference.
3. **Accountability** – mechanisms ensuring responsiveness and legality.
   High capacity + autonomy with strong accountability = most effective.
   Too little autonomy → politicization; too much → technocracy or "rule by experts."

3. Administrative pathologies

The reading notes that bureaucracy can fail through:

- **Over-bureaucratization** (red tape, rigidity).
- **Capture or collusion** with regulated interests.
- **Fragmentation** after NPM reforms (too many semi-autonomous agencies).
  These illustrate the constant trade-off between **efficiency**, **control**, and **democratic legitimacy**.

4. Principal–agent elaboration

Beyond your slides: Knill & Tosun link this to **delegation theory**—politicians delegate to bureaucrats because it saves time and provides expertise, but they must design **monitoring mechanisms** (audits, performance contracts, reporting).
NPM's "contracting logic" is one such attempt, though it can **increase transaction costs** if monitoring outweighs gains.

C) Horizontal and Vertical Divisions of Power

1. Horizontal separation (executive–legislative–judicial)

Knill & Tosun detail how checks and balances are realized differently:

- **Presidentialism**: strict separation; executive has fixed mandate; risk of **deadlock**.
- **Parliamentarism**: fused powers; executive dependent on legislative confidence; risk of **executive dominance** when majorities are disciplined.
- **Judicialization of politics**: in both types, courts have expanded influence through **constitutional review**, often becoming **policy-shapers** themselves (e.g., environmental, social rights rulings).

2. Bicameralism

Not just about two chambers—the key question is **symmetry and congruence**:

- **Symmetrical bicameralism** (e.g., US, Italy) gives both chambers near-equal power → more negotiation.
- **Asymmetrical** (e.g., UK House of Lords) limits the upper chamber to review/delay powers.
  This design affects legislative speed and the number of **veto players**.

3. Vertical division: federalism and decentralization

Knill & Tosun go further than the slides by typologizing **federal designs**:

- **Dual/coordinated federalism** (U.S.): clear separation of competences.
- **Cooperative federalism** (Germany): intertwined responsibilities and joint decision-making.
- **Decentralized unitary states** (UK, Spain): formal unitary structure but significant self-rule.
  They emphasize that federalism is not static—many states experience **"creeping centralization"** or **"re-regionalization."**

4. Multi-level governance

The authors extend the vertical dimension to **supranational and subnational levels**:
Policy is now made in **interlocking arenas** (EU, national, regional, local). Authority is shared and negotiated rather than hierarchical. This **blurs accountability** but allows **policy innovation** and cross-level learning.

D) Key Insights the Slides Didn't Cover

1. **Institutions are not neutral**: they favor certain actors, values, and time horizons (e.g., federalism protects minorities; majoritarianism rewards speed).
2. **Administrative traditions and path dependency** explain why reforms (like NPM) have different results across countries.
3. **Efficiency** in the public sector is multidimensional: it requires balancing **capacity, autonomy, accountability**, not just cutting costs.
4. **Judicial and international actors** now function as **fourth and fifth branches** of policymaking.
5. **Federal and multi-level systems** expand participation but multiply **veto points**, requiring negotiation and coordination rather than command.

Lecture 3 – State-Society Relations

1. Key Non-State Actors

Beyond formal state institutions, policymaking involves several influential non-state actors – **political parties**, **interest groups**, and **experts** – who connect citizens and organized interests to the political system. They shape both how preferences are expressed and how policies are formulated.

2. Political Parties

A **political party** is an organization that seeks influence in the state by competing for government positions and **aggregating interests** across society (Ware, 1996).

Main Functions:

- **Coordinating preferences:** Parties link citizens' beliefs and interests with candidates and elected officials, transforming public opinion into political agendas.
- **Structuring electoral competition:** They recruit personnel, formulate policy programs, and organize campaigns to influence voters.
- **Representing citizens:** Party representatives act as delegates or trustees, giving citizens voice in policymaking.
- **Legitimizing the system:** By participating in elections, parties sustain trust in democratic institutions – although the rise of **populist and challenger parties** has complicated this function.

3. Classifying Political Parties

Parties are usually classified by **ideology** along **two dimensions**:
a) **Economic** (left/right): left parties favor redistribution and public welfare, right parties emphasize market freedom and limited state intervention.
b) **Social** (liberal/conservative): liberals support progressive values and individual freedoms, conservatives favor tradition and authority.

The **Global Party Survey (2019)** also measures **populism**, showing variation in how parties appeal to "the people" against "the elite."

4. Party System Characteristics

Political systems differ not only by party ideology but by how stable or fragmented they are.

- **Electoral Volatility:** Refers to the **net change** in party vote shares between elections. High volatility means shifting voter loyalties and weaker party identification (e.g. Latvia, Lithuania, Turkey). ("the net change within the electoral party system resulting from individual vote transfers")
- **Fragmentation:** Measures how **many parties** gain significant representation in a system. More fragmentation usually leads to coalition governments and slower decision-making. ("how many parties, weighted according to size, are in a party system in a given election")
- **Polarisation:** Captures the **vote share of anti-establishment parties** – the extent to which "outsider" or protest parties challenge mainstream politics. High polarisation signals deep ideological divisions and growing dissatisfaction with established elites. ("the percentage of votes obtained by "anti-political-establishment" parties")

5. Interest Groups

Interest groups (also called advocacy groups, NGOs, or lobby groups) are private organizations that make **policy suggestions to public actors** – governments, parliaments, and bureaucracies – to align policies with the **beliefs and interests** of their members.

Main functions:

- **Overcoming collective-action problems:** Groups help coordinate people with shared preferences, though large groups face **free-rider problems** when benefits are diffuse.
- **Influencing policymaking:** They provide specialist knowledge, campaign resources, or financial support to shape legislation.
- **Inside lobbying:** Direct cooperation with officials within policymaking arenas (e.g., participation in iron triangles).
- **Outside lobbying:** Public campaigns and media advocacy aimed at shaping opinion from outside formal policymaking channels.

6. Interest Groups vs. Social Movements

While both seek to influence politics, **social movements** differ by being less institutionalized and more confrontational:

1) They adopt a **conflictual orientation** toward opposing groups.
2) They emphasize a **collective identity** (e.g. climate or feminist movements).
3) Their actions are **unconventional** – protests, strikes, demonstrations – rather than formal lobbying.
4) They generally reject routine cooperation with official institutions.

7. Conditions for Policy Influence of Interest Groups

Several **factors determine how much influence an interest group can exert:**

- **Internal organization:** Financial resources and leadership capacity affect lobbying strength.
- **Complexity of the issue:** Technical or specialized policies increase reliance on expert groups.
- **Competition between groups:** The level of rivalry and access to policymakers depends on the institutional context:

    - **Interest Group Pluralism:** A "marketplace" of interest groups, where many groups compete for influence over policy. Multiple interest groups can access policymakers, but influence is more fragmented because groups compete against one another. This model is common in systems like the United States, where many interest groups are competing independently for policymakers' attention.
    - **Interest Group Corporatism:** Fewer, more institutionalized ties between the state and key associations; regular **tripartite bargaining** among government, employers, and unions; **centralized wage negotiation** and high unionization.

8. Experts

Experts are individuals or networks with specialised, policy-relevant knowledge in specific issue areas, typically based on scientific credentials (academic or industry). They form part of **epistemic communities** – transnational networks of professionals who share common causal beliefs and policy goals (e.g., the IPCC, or expert panels during Covid-19).

Main functions:

1) **Providing causal connections:** Experts help policymakers understand how specific causes lead to certain policy outcomes, offering **ideas for action**.
2) **Providing impartial evidence:** They supply data and analysis to guide decisions, though full neutrality is difficult as science operates within social and political contexts.
3) **Brokering between coalitions:** Experts can mediate between coalitions with competing **belief systems**, helping to build consensus in contested areas.

9. Evidence-Based Policymaking (EBPM)

EBPM **represents the "gold standard"** of modern public policy, where decisions are ideally grounded in **empirical evidence** rather than ideology or political expediency (*covid-19)

- It expanded with **New Public Management (NPM)** reforms in the 1990s, emphasizing efficiency, accountability, and measurable outcomes.
- International organizations like the **OECD**, **World Bank**, and **EU Commission** promote evidence-driven policymaking.

Limitations:

- Evidence is always **interpreted and processed** by humans – it can be selectively used ("cherry-picked") to fit political goals.
- There is a danger of **policy-based evidence-making**, where governments manipulate data to justify pre-decided policies.
- The process risks **politicizing science**, as seen during Covid-19 debates about public health measures.

10. Think Tanks

Think tanks are hybrid institutions at the intersection of **research, advocacy, and policymaking** – acting as major players in the **"marketplace of ideas."**

Key characteristics:

- They **produce** policy analysis and recommendations, influencing how ideas spread and become embedded in political discourse.
- Combine **objective research** with **activism**, blurring lines between academia and politics.
- Especially influential in the **United States**, where ideological diversity among think tanks (e.g. Cato Institute, RAND Corporation, Friedrich Ebert Stiftung) reflects broader partisan divides.
- Scholars and policymakers must remain aware of their **programmatic or partisan origins**, as think tanks often pursue agendas aligned with specific political or economic interests.

11. Modelling State–Society Relations: The Advocacy Coalition Framework (ACF)

Developed in the early 1980s by **Paul Sabatier** and **Hank Jenkins-Smith**, the **ACF explains** how policy change happens over time through the interaction of coalitions of actors that share common beliefs within a specific **policy subsystem**.

12. Main Aspects of the ACF Model

- **Focuses on** the policy subsystem – the network of actors and institutions concerned with a specific policy issue (e.g. energy policy, education, or environmental regulation).
- The **unit of analysis** is the **actor network** within a sub-system rather than isolated institutions.
- Actors' **belief systems** (values, goals, perceptions) are central to understanding their behavior.
- The **ACF aims** to produce testable predictions about when and how policies change – or remain stable.

13. The Policy Subsystem

A **policy subsystem** is the arena where advocacy coalitions interact, negotiate, and compete.

Key characteristics:

1. **Issue-centric:** Groups organize around a specific policy problem, not around entire sectors.
2. **Brokered cooperation:** Coordination is often mediated by insiders (policy brokers – they are neutral & have a desire to "move forward" => try to bring coalitions together).
3. **Geographic dimension:** Subsystems often form around particular countries or regions.
4. **Institutional embeddedness:** Subsystems operate within formal political and administrative frameworks.
5. **Responsive to external shocks:** Elections, crises, or regime shifts can reshape subsystem dynamics.

The Policy Subsystem

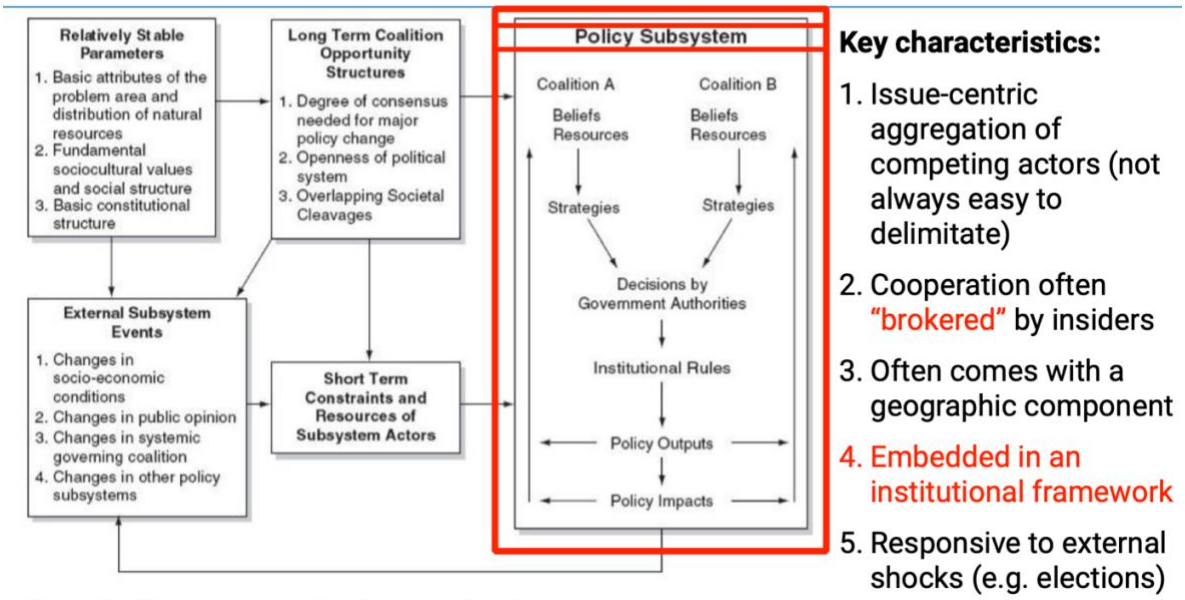


Figure 10.1 The advocacy coalition framework flow diagram

Beliefs < > Interests: Beliefs are deeper and form the foundation of preferences, while interests are the practical goals derived from those beliefs.

14. Coalitions and Their Belief Systems

- Policy actors (**both formal and informal**) form **coalitions** based on shared beliefs and values.
- Each coalition tries to translate its belief system into concrete **policy outputs**.
- Therefore, a given public policy reflects the belief system of the coalition that has succeeded in dominating the subsystem.

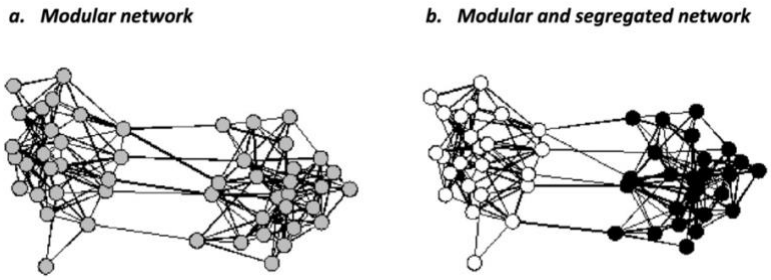
"A given public policy is best understood as the translation of some belief systems, namely those that have ended up being successful."

14a. Mapping and Identifying Coalitions

Inferring Coalition Boundaries:

Network analysis helps reveal how actors cluster based on shared beliefs or cooperation.

- Modular networks = coalitions exist but still interact.
- Modular + segregated networks = clear, polarized coalitions with little cross-communication.
  → Shows how cohesive or conflictual a policy subsystem is.



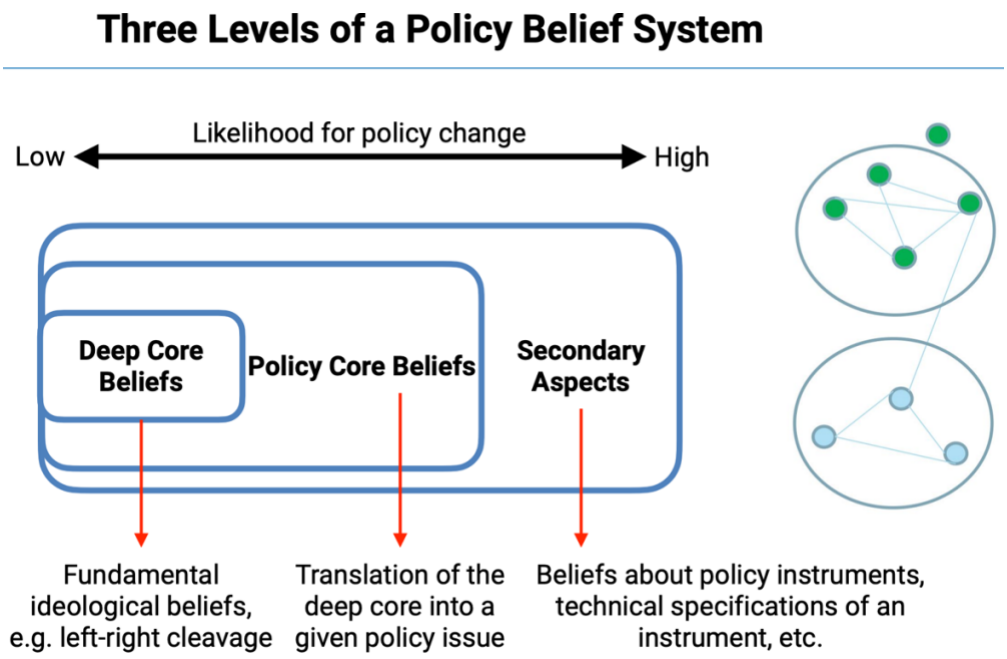
Example – U.S. Climate Policy Subsystem:
Three main coalitions:

- **Environment** (green): sustainability and regulation.
- **Economy** (red): growth and deregulation.
- **Science** (blue): evidence-based policy.
  Democrats align with environment/science, Republicans with economy → illustrates belief-driven alliances among diverse actors.

15. Three Levels of a Policy Belief System

1) **Deep Core Beliefs**
   - Fundamental, ideological convictions (e.g. about human nature, justice, the role of government, left–right divide).
   - Very resistant to change.
2) **Policy Core Beliefs**
   - Application of these deep values to specific policy domains (e.g. "government should regulate the energy market").
   - Change occurs only through major political shifts.
3) **Secondary Aspects**
   - Technical or instrumental beliefs (e.g. choice of tools, regulatory details).
   - Easier to adapt and modify.

The **likelihood of policy change** increases as one moves from deep core to secondary aspects.



16. "Major" and "Minor" Policy Change

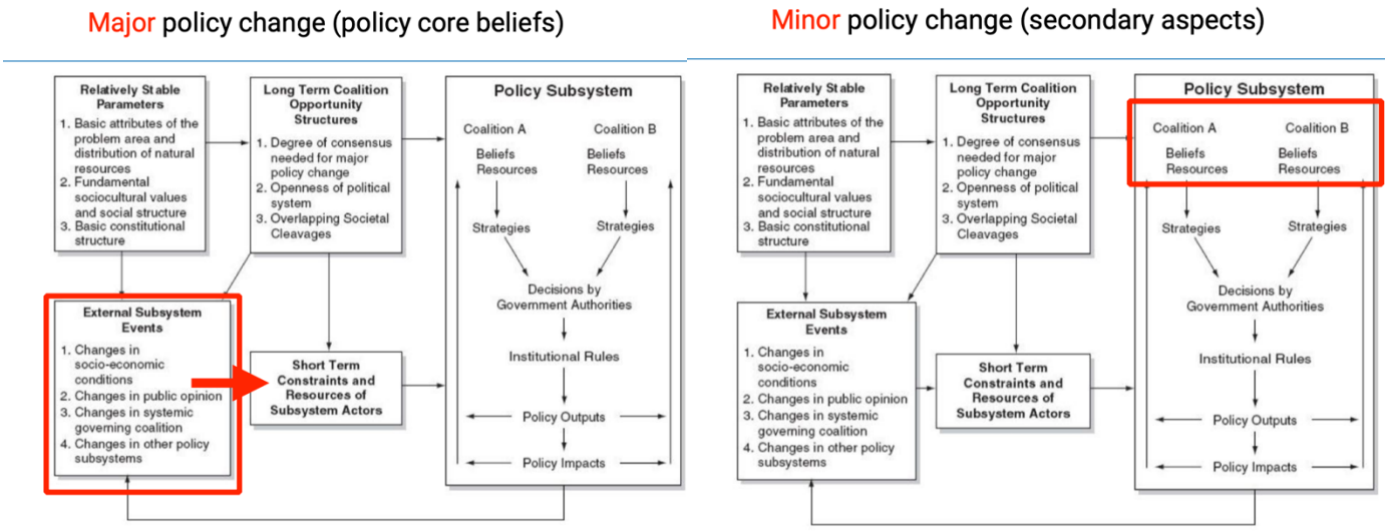
Policies evolve when **coalitions change** – either in composition or in belief systems.

- **Major policy change:** Occurs when core beliefs of dominant coalitions shift (e.g. welfare state reform, environmental paradigm shift).
- **Minor policy change:** Involves adjustments to secondary aspects (e.g. emission limits, technical procedures).

17. Reasons for Policy Change

Policy change within the ACF can result from both **external** and **internal** factors affecting coalitions and their belief systems.

- **External shocks** can trigger **major policy change** by altering the policy core beliefs of dominant coalitions. These **include**:
    1. **Socio-economic changes** (e.g. recessions, technological transformation)
    2. **Regime changes** (e.g. elections or revolutions)
    3. **Disasters or crises** (e.g. pandemics, nuclear accidents)
    4. **Spillover effects** from other policy subsystems
- **Internal shocks** usually lead to **minor policy change**, involving adjustments in secondary aspects. These **arise from**:
    1. **Crises within a coalition** (loss of credibility or leadership)
    2. **Policy learning**, which **can occur**:
        - **Within coalitions** – adapting policies in light of new evidence or experience (e.g. on soft drugs)
        - **Across coalitions** – through **policy brokers** mediating between opposing groups and facilitating compromise



19. Reasons for Policy Stability – The 'Devil Shift'

Sabatier, Hunter, and McLaughlin (1987) describe the **Devil Shift** – when advocacy coalitions tend to see opposing coalitions as **more "evil" and more powerful** than they really are.
This happens **because actors rely on:**

- **Heuristics** – mental shortcuts to fill in missing information.
- **Confirmation bias** – focusing on information that supports existing beliefs.
- **Loss aversion** – fearing losses more than valuing potential gains.

The Devil Shift leads to **conflict escalation** and **entrenched beliefs**, making policy change less likely.
Policy brokers play a key role in reducing these tensions and encouraging cooperation between rival coalitions.

19. Key Upshots

1) The **executive's control of bureaucracy** grants enormous discretionary power but also raises **principal–agent problems**.
2) Bureaucracies, while expert-driven, can be **self-interested and politicized**.
3) **New Public Management (NPM)** sought to address inefficiency by introducing market-like incentives and accountability mechanisms.
4) Clear distinction must be made between **political parties, interest groups, and epistemic (expert) communities**.
5) **Institutional arrangements** (e.g. executive-legislative balance, electoral systems) shape political dynamics and thus policy outcomes.
6) The **Advocacy Coalition Framework** integrates institutions *and* actors to explain how state–society relations evolve, offering a powerful model to analyze **major and minor policy change**.

Reading #3

1. From Government to Governance

The reading reinforces the shift from **government** (centralized, hierarchical decision-making) to **governance**, which emphasizes **networks of interdependent actors** — public agencies, interest groups, NGOs, and experts — working collaboratively and competitively across institutional boundaries.
This change implies that policymaking is **polycentric** — authority and influence are **distributed**, not concentrated, and successful policy depends on **coordination across multiple centers of power**.
Governance is therefore seen as a **process of negotiation and learning** rather than command and control.

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2. A Broader Conception of Policy Actors

While the lecture emphasized **parties, interest groups, and experts**, the reading adds new distinctions:

- **Policy entrepreneurs** – individual leaders who invest resources to promote innovative ideas and strategically link coalitions.
- **Policy brokers** – mediators who seek compromise between rival coalitions to maintain subsystem stability.
- **Auxiliary actors** – peripheral participants who occasionally align with a coalition when interests overlap.
- **Latent actors** – those indirectly affected by policies but not yet mobilized.

This layered typology helps identify not just *who acts*, but *how consistently and with what strategic purpose*.

---

3. The Role of Beliefs in Coalition Behavior

The lecture noted that beliefs are the "glue" of coalitions, but the reading deepens this concept by showing **how beliefs shape cognition and perception**:

- **Beliefs guide information processing** – actors interpret data selectively through their ideological lenses ("bounded rationality").
- **Beliefs define policy problems** – they determine *what counts as a problem* and *which solutions seem legitimate*.
- **Beliefs create stability** – they explain why coalitions persist despite new evidence or political turnover.

This underlines that policymaking is as much about **contested meaning** as about technical problem-solving.

---

4. Policy Subsystems as Arenas of Continuous Interaction

Weible & Ingold highlight that subsystems are not static — they are **evolving ecosystems** where actors learn, compete, and adapt.

Subsystems can differ by:

- **Issue scope** (e.g. energy, climate, education),
- **Geographic scale** (local, national, international), and
- **Temporal dynamics** (some stable for decades, others volatile).

This reinforces the idea that **policy change is gradual** — it happens through continuous interaction and **accumulated learning**, not only crises or external shocks.

---

5. Coordination Patterns: Strong vs. Weak Coalitions

The reading introduces the distinction between **strong** and **weak coordination**:

- **Strong coordination** – actors deliberately align strategies, share resources, and coordinate lobbying.
- **Weak coordination** – actors act independently but in ways that complement each other due to shared beliefs.
  This nuance shows that coalition unity doesn't always require formal organization — **shared ideas can substitute for formal structure**.

---

6. Identifying Power and Influence

The chapter provides **four analytical approaches** to study influence within a subsystem — a clear methodological addition to the lecture:

1. **Positional** – who holds official authority.
2. **Decisional** – who actually participates in shaping policy outcomes.
3. **Reputational** – who is perceived as influential by others.
4. **Latent** – who could become active given sufficient motivation or threat.
   Together, these reveal how **power in governance** extends beyond visible, institutional control.

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7. Mechanisms of Policy Change

While the lecture discussed **major (external)** and **minor (internal)** policy change, the reading emphasizes **mechanisms** behind these transitions:

- **Threat perception** as a mobilizing force — coalitions often form in reaction to perceived threats to their beliefs.

- **Inter-coalitional learning** — gradual convergence through information exchange and socialization.
- **Strategic framing** — actors reframe problems to make their beliefs more acceptable to broader audiences.

These mechanisms illustrate that change results from both **cognitive adaptation** and **strategic interaction**.

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8. Practical and Normative Insights

The reading concludes with several practical lessons:

- **Coalitions democratize policymaking** by opening participation beyond elected officials.
- But they also risk **fragmentation and opacity**, as informal influence can obscure accountability.
- Effective governance requires balancing **inclusiveness** with **coherence** — ensuring diverse voices contribute without paralyzing decision-making.

In essence, the ACF shows that the **policy process is both political and cognitive**: it depends on who believes what, and how those beliefs shape cooperation, conflict, and learning.

Lecture 4 – Multi-Level Governance

1. What is Multi-Level Governance (MLG)?

- **Definition:** Describes the dispersion of political power across different jurisdictions and actors, both within and beyond national states.
- **Emerged after WWII**, as globalization and European integration deepened.
- **Governance vs. Government:**
  - "Government" implies top-down control.
  - **"Governance" highlights** shared, negotiated authority dispersed between formal (states, institutions) and informal (NGOs, networks) actors.
  - Governments should *"steer, not row"* – coordinate rather than dominate policy processes.
- The **EU** is the clearest **example**: combines supranational scaling-up (EU institutions) with domestic decentralization within states (subsidiarity principle).

'Multi-level governance': describes the dispersion of power within and beyond central (national) states.

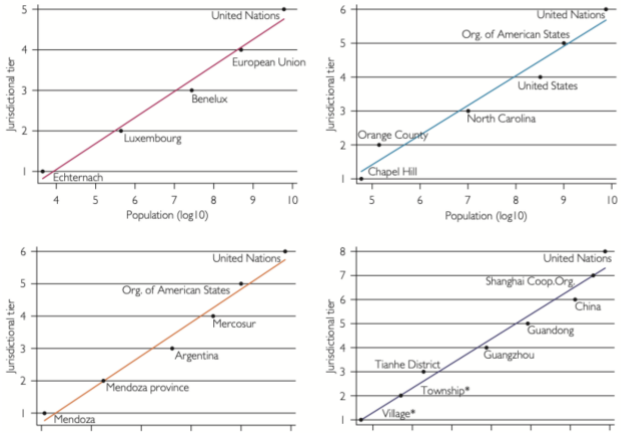
2. Two Logics Behind MLG

- **Choice logic:**
  - Governance reflects a **desire for self-rule** – autonomy based on regional identity, language, or culture.
  - Governance should reflect local histories and social realities.
  - Leads to **differentiated governance** (e.g. special rights or autonomy for minority regions).
- **Necessity logic:**
  - Governance as a tool for the **efficient delivery of public goods.**
  - Assumption of "optimal spatial scales" for managing issues – local problems locally, transnational problems globally.

- Linked to the **"governance ladder"** – the idea that larger populations require more tiers of authority for effective coordination. ("linear relationship between government levels and population size")

3. The Governance Ladder

- Visualizes the **hierarchical but rational structure** of MLG.
- Each "rung" (local, regional, national, supranational) corresponds to a population scale.
- The larger the population, the greater the **benefit of having multiple levels of government** to manage complexity.
- Example: municipalities → regions → states → international organizations.



- Rational structure of (roughly) equally spaced tiers at exponentially increasing population levels.
- Hence: the larger the population of a state, the greater the benefit of multiple jurisdictions.

4. MLG and the Federal–Unitary Dimension

The federal–unitary distinction describes how authority is distributed **vertically** within a state, but MLG shows that in practice these forms often overlap.

- **Unitary systems** (e.g. UK, Denmark, France, Latvia):
  - Power is **concentrated at the center.**
  - Subnational authorities exist but operate **under the control** of the national government.
  - The central authority can **change the vertical division of power unilaterally.**
  - Some unitary systems include **devolved regions** with substantial autonomy (e.g. Scotland, Catalonia) ("quasi-state"), but their powers remain **revocable.**
- **Federal systems** (e.g. U.S., Germany, Switzerland, Brazil):
  - Power is **constitutionally divided** between central and subnational governments.
  - Each level has its own **sphere of sovereignty** ("dual sovereignty").
  - Neither level can unilaterally alter the other's authority.
  - Federalism aims to balance **self-rule** (autonomy for subnational units) and **shared rule** (joint participation in federal institutions).
- Rather than a binary, the **federal–unitary dimension forms a continuum**.
  - Some unitary systems are highly decentralized, while some federations function with strong centralization.
  - **MLG captures this variation**, emphasizing how power is shared, negotiated, and coordinated across levels rather than fixed in law alone.

5. Variation and Growth of Local Authority

Across Europe, there is **little variation in overall local and regional authority**, but countries differ in how power is distributed between these levels.

- **Federal countries** (Germany, Switzerland, Belgium) emphasize strong **regional authority**, while **Nordic states** rely on **local autonomy**.
- **Southern and Eastern Europe** remain more **centralized**, though gradual decentralization continues.

Globally, since **1950**, there has been a trend toward **deepening regional authority** – driven by both **functional needs** (managing complexity) and **political pressures** (identity, democratization)

6. Main Drivers of Multi-Level Governance

MLG **grows due to several forces**:

1) **Ethno-territorial identity:**

- Regional communities demand **self-rule** to protect culture and autonomy.
- Successful cases create **spill-over effects**, motivating other regions.

2) **Democratization:**

- Expanding democracy increases **local accountability** and participation.
- Citizens organize more easily and demand a voice in governance.

3) **Interdependence:**

- States are **too small** for global challenges but **too large** for local issues.
- MLG balances these pressures through **cooperation across levels**.

4) **Higher living standards:**

- Wealthier societies can sustain **more complex governance structures.**
- Citizens expect **tailored, multi-level decision-making** and better service delivery.

7. Challenges to Multi-Level Governance

MLG brings flexibility but also **new problems of governance**:

- **Institutional obstacles:** Westminster-style systems favor centralized control, which conflicts with MLG's diffused authority (e.g. Brexit's "Take Back Control").
- **Blurred responsibilities:** unclear accountability enables blame shifting and may foster corruption in weak institutions.
    - Voters may have a hard time to hold decision-makers accountable.
    - Politicians may have strategic incentives to blur responsibilities (or claim credit for good outcomes).
    - Dispersing power away from the center may increase corrupt opportunities (see e.g. Argentina, Brazil).
- **Coordination problems:** overlapping competences between levels cause inefficiency and policy inconsistency (e.g. differing COVID-19 regulations).
- **Politicization of interdependence:**

- Global networks become instruments of power – states use them strategically (**weaponization of interdependence**).
- **Panopticon effect:** interdependence used for surveillance and control (e.g. U.S. access to SWIFT data).
- **Chokepoint effect:** exclusion from key systems as a form of pressure (e.g. Russia cut off from SWIFT after 2022).

8. Key Takeaways

- **MLG** explains how political authority is **distributed and coordinated** across multiple levels.
- **Federalism and unitarism** are ends of a **continuum**, not opposites.
- The **EU** exemplifies MLG, combining **supranational integration** with **regional and local autonomy.**
- While MLG improves flexibility and inclusion, it creates **coordination, accountability, and politicization challenges.**

Reading #4

1. Concept of Multi-Level Governance (MLG)
MLG describes the **dispersion of power** from national governments to other levels — supranational, regional, and local — as well as to **non-governmental actors**. It blurs the boundary between **formal authority** (laws, institutions) and **informal influence** (networks, interest groups).

- **Choice:** deliberate power-sharing (e.g. federal constitutions, EU devolution).
- **Necessity:** limits of central capacity — lack of attention, resources, or control.
  → MLG reflects both **governance by design** and **governance by constraint**.

---

2. From Westminster Model to Governance
The **Westminster Model (WM)** assumes **centralized control**, strong executives, and clear accountability.
MLG, in contrast, shows policymaking as **fragmented, negotiated, and interdependent**.

- WM: hierarchy and command.
- MLG: cooperation and shared authority.
  This shift recognizes that governments can **influence more than they can control**.

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3. Governance: Interdependence and Limited Control
Governance highlights **mutual dependence** between public and private actors.
Governments have authority but lack the capacity to implement alone. They rely on **policy networks**—exchanges of information, resources, and influence.

This creates **self-organizing systems**, where policymaking emerges through negotiation rather than command, often leading to **clientelism** (mutual dependency).

---

4. Global Governance
Issues like **climate change, migration, or pandemics** require cooperation beyond the nation-state.
Global governance refers to **collective management** of transnational problems by states, international organizations, and civil society.
This produces **regime complexity**—overlapping institutions and treaties that make coordination difficult but essential.

---

5. New Public Management (NPM) and State Reform
NPM introduced **private-sector methods** into the public sector to increase efficiency:

- **Contracting out** services.
- **Privatization** and **public-private partnerships (PPPs)**.
- **Quasi-markets** within government.
- **Civil service reforms** emphasizing performance and flexibility.
  Result: a more **fragmented regulatory state**, where control is shared and less hierarchical.

---

6. Hollowing Out vs. Metagovernance
Some argue MLG led to the **hollowing out of the state** — loss of power to agencies, NGOs, and supranational bodies.
Others see **metagovernance** — governments **steering indirectly** by setting frameworks, incentives, and rules.
→ Central authority is not lost but **transformed**: it now shapes the **"rules of the game"** rather than issuing direct commands.

---

7. The EU as a Case of MLG
The **European Union** exemplifies MLG: authority is shared among **EU, national, and regional levels**.
Two perspectives explain it only partly:

- **Neofunctionalism:** cooperation in one area leads to spill-overs.
- **Intergovernmentalism:** member states retain main control.
  MLG integrates both—recognizing shared, negotiated power across levels and actors.

Types of MLG:

- **Type 1:** few, stable, clearly defined levels (like federal systems).
- **Type 2:** many, overlapping, flexible jurisdictions — task-specific (e.g. EU agencies).

---

8. Normative Dimensions – Is MLG Better?
Empirically, MLG describes how things work; normatively, it asks how they *should*.
Benefits: more participation, innovation, and adaptation to local needs.
Critiques: unclear accountability and unequal influence (especially unelected bodies).
Thus, MLG's value depends on whether power diffusion enhances **democracy** or reduces **transparency**.

---

9. MLG, Federalism, and Comparative Insights
Federalism and **MLG** both involve **shared sovereignty** and **negotiation** across levels.

- Federalism: formal, constitutional division of powers.
- MLG: informal, networked, and dynamic.
  Even unitary states can act "federally" through **devolution**.
  The **EU** stands between both models — a **multi-level polity** rather than a pure federation.

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10. Theoretical Connections
MLG connects with major policy theories explaining complex policymaking:

- **Punctuated Equilibrium Theory (PET):** attention shifts create sudden changes.
- **Multiple Streams Approach (MSA):** actors couple problems and solutions when policy "windows" open.
- **Polycentric Governance:** multiple, interacting centers of decision-making.
  All highlight **bounded rationality** — no single actor has full control or perfect information.

Lecture 5 – Efficiency

1. The Concept of Efficiency in Public Policy

Efficiency refers to using the **least amount of input** to achieve the **highest possible output**. In public policy, it serves as a **key benchmark** for assessing how limited resources can produce the greatest social benefits.

- Efficiency ≠ Effectiveness: Efficiency is about doing things right *("least amount of input to get the most amount of output"*), while effectiveness is doing the right things*("whether works in general"*).

- The central question: Efficient at what?
    - **Economic efficiency**: maximizing **social welfare** or total surplus.
    - **Medical efficiency**: maximizing the **number of lives saved** or health gains (QALYs).

In policy terms, the **preferred action** is the one that contributes most to the **maximization of social welfare**.

2. Allocating Scarce Resources – The Healthcare Example

In situations of **resource scarcity**, efficiency becomes a moral and practical challenge.
For instance, when a doctor has limited doses of life-saving medication for patients with varying needs, the policy dilemma arises: **how to allocate resources** to maximize benefits.
→ This introduces efficiency as a **normative principle**: deciding not only what can be done, but what *should* be done to achieve the greatest welfare.

You are a doctor who runs a hospital in an isolated rural area. You have 20 critically ill patients: 10 patients have Disease A and 10 patients have Disease B. All the patients will die unless they quickly receive the correct dose of an expensive life-saving medication.

- Each patient with Disease A needs **one** dose of the medication to be cured.
- Each patient with Disease B needs **two** doses of the medication to be cured.

Problem: You currently have only **10 doses** of the medication, and you have neither the time nor the budget to get more.

3. Utilitarian Roots of the Efficiency Principle

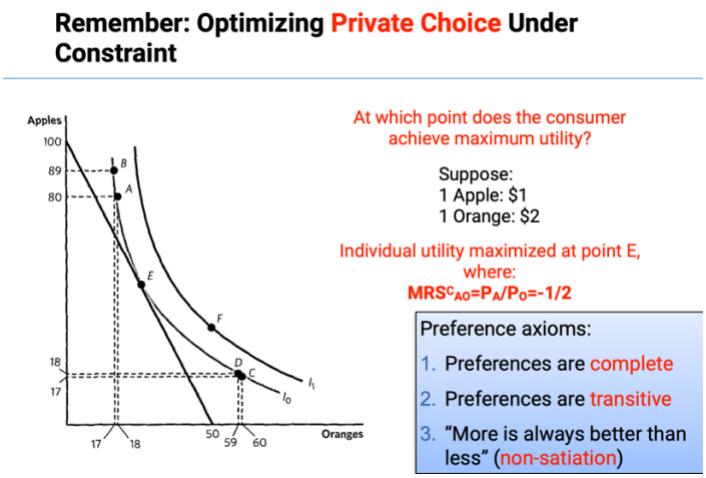
The modern idea of efficiency in policy is deeply rooted in **Utilitarianism** (**Jeremy Bentham**).
Utilitarianism holds that the **best policy** is the one that produces the **"greatest good for the greatest number."**
This translates into the **maximization of total social happiness or welfare**, regardless of how benefits are distributed.
→ Efficiency, therefore, reflects a **consequentialist logic** — judging policies by outcomes, not intentions.

4. Private Choice and Utility Maximization

In economics, individuals aim to **maximize their utility** (satisfaction) within constraints such as income or prices.

- The **optimal choice** occurs where the **marginal rate of substitution (MRS)** equals the **price ratio** (i.e., where the consumer's willingness to trade between goods matches market trade-offs).

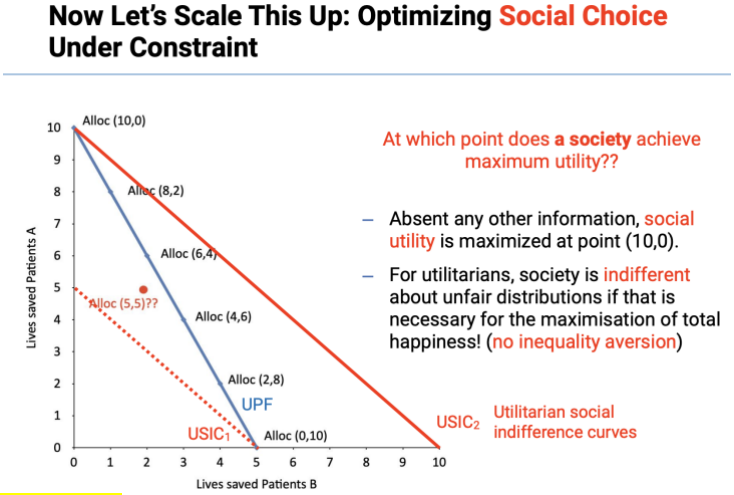
- **Preference axioms**:
    1. Preferences are **complete** (people can compare all options).
    2. Preferences are **transitive** (consistent choices).
    3. **More is better than less** (non-satiation).



5. Scaling Up: From Private Choice to Social Choice

Policymaking mirrors the logic of individual optimization but applies it to **society as a whole**. Governments must decide **how to allocate resources** (e.g., health budgets, education funding) to maximize **social utility** under constraint.

- The **Utility Possibility Frontier (UPF)** represents the trade-offs between different individuals' or groups' welfare.
- The **Social Indifference Curve (SIC)** shows combinations of outcomes yielding equal overall social welfare.



6. The Utilitarian Optimum

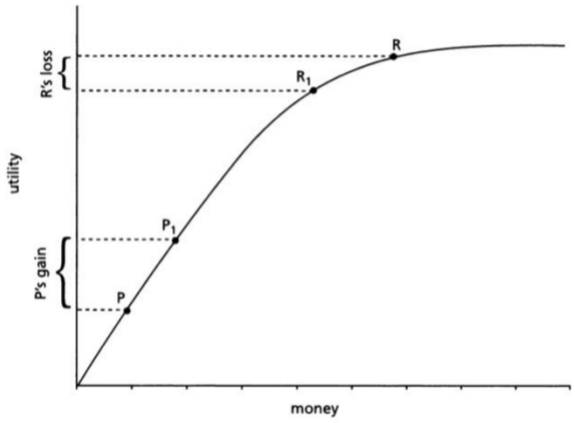
At the **utilitarian optimum**, an allocation of goods is **efficient** if it is impossible to reallocate the goods so as to increase the total sum of happiness in society.
Formally, the **social welfare function** adds up individual utilities:
→ Efficiency is achieved when total social happiness is maximized.

Key policy implication:
The right policy is the one that produces the **maximum sum of welfare**, even if that means **unequal distribution** (utilitarianism has **no inequality aversion**).

7. The Trouble with Utilitarianism in Public Policy

While utilitarianism provides a clear efficiency criterion, it faces several **ethical and practical problems** in policymaking.

1. **Justifying harm for the greater good:**
   - Reaching the utilitarian optimum may legitimize **doing harm** – e.g. sacrificing a small number of people for the benefit of many.
   - When utilities are aggregated, **many small gains** can outweigh **large individual losses**, which can seem morally unacceptable.
2. **Ignoring special relationships:**
   - Utilitarianism does not account for **moral obligations** we have toward certain individuals (family, kin, cultural groups, etc.).
   - It overlooks **contractual commitments** and **promises** – for instance, duties to repay loans or honor specific agreements.
3. **Problems of interpersonal comparison:**
   - It is difficult to **compare utility across individuals**, since **money** is not a perfect measure of happiness.
   - Due to the **diminishing marginal utility of income**, an extra euro means less to a rich person than to a poor one – making money a poor proxy for social welfare.



8. Towards a Less Controversial Version of Utilitarianism: The Pareto Framework and the 'Ordinalist Revolution'

To address the moral and measurement problems of utilitarianism, economists in the 1920s–1930s adopted a **less controversial approach**: the **Pareto framework**, part of what became known as the **"Ordinalist Revolution."**

This shift, led by **Vilfredo Pareto (1848–1923)**, marked the **transition to modern welfare economics** and redefined how economists thought about **utility** and **welfare**.

Key elements of the Ordinalist Revolution:

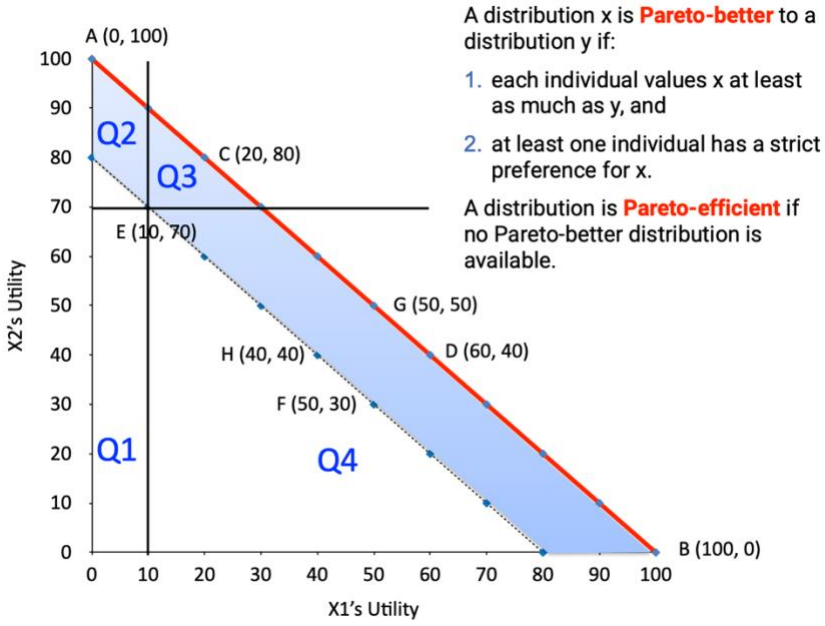
1. **Interpersonal comparisons rejected:**
   Interpersonal comparisons of utility and cardinal measurements were **no longer considered acceptable**.
2. **Positivist scientific method:**
   Economics embraced a **scientific, behavior-based** approach focusing on observable preferences.

3. **Ordinal measurement of welfare:**
   Welfare was now measured **ordinally** – only the **ranking** of preferences mattered, not their intensity.
4. **Principle of minimal benevolence:**
   If **Y** is better for someone than **X**, and **X** is not better for anyone than **Y**, then (other things equal) **Y** is morally better than **X**.

This led directly to the **Pareto criteria** that underpin welfare economics.

9. Pareto Efficiency and Pareto Improvement

- **Pareto Efficiency:**
  A policy is **efficient** if it is impossible to make at least one person **better off** without making someone else **worse off**.
- **Pareto Improvement:**
  A **policy change** that makes at least one person **better off** without making anyone **worse off**.



10. Pareto-Comparability

Two allocations are:

- **Pareto-comparable** if one is **Pareto-better** than the other (quadrants Q1 and Q3).
- **Pareto-incomparable** if neither is Pareto-better (quadrants Q2 and Q4).

So:

1. Allocations like F and H, F and E, H and E are **Pareto-incomparable**.
2. Even **Pareto-efficient** allocations (e.g. D and G) may be **incomparable**.
3. Thus, **not all Pareto-efficient allocations are better** than all Pareto-inefficient ones.

(Graph above)

11. The First Fundamental Theorem of Welfare Economics

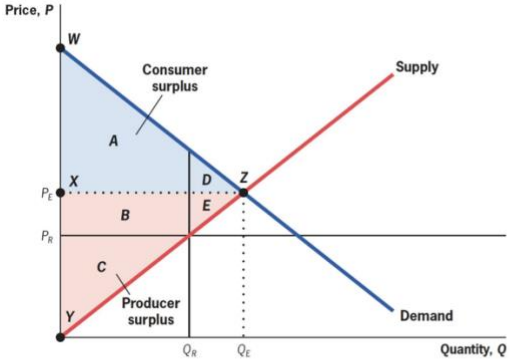
Theorem 1:

Under ideal assumptions, **competitive markets** will always lead to a **Pareto-efficient outcome**.

This builds on **Adam Smith's** hypothesis that individuals acting in their **own self-interest** promote the **public interest** through market exchange.

- **Consumers** seek to maximize preference satisfaction.
- **Producers** seek to maximize profits.

→ Competitive equilibrium ensures resources are allocated efficiently – no one can be made better off without making someone worse off.



Theorem 1:
Under ideal assumptions, competitive markets will always lead to a Pareto-efficient outcome.

- Adam Smith's basic hypothesis: people know better what is in their **own** interest than what is in the **public** interest.
- Competitive conditions ensure an **equilibrium** between two types of self-interested behavior:
  - Consumers seek to maximize the satisfaction of their preferences.
  - Producers seek to maximize their profits.

12. The Second Fundamental Theorem of Welfare Economics

Theorem 2:

Society can reach any Pareto-efficient outcome by **redistributing initial wealth** among individuals and then allowing individuals to **freely trade**.

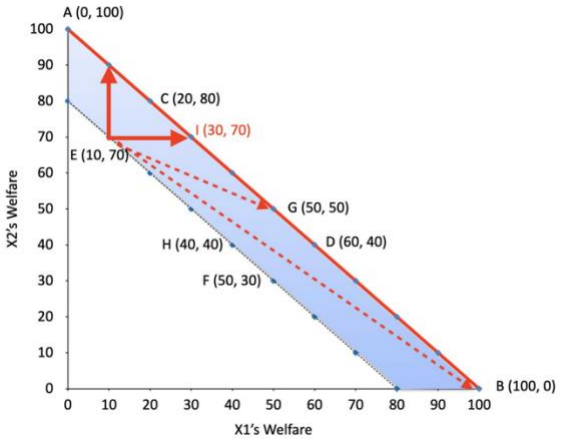
This separates **efficiency** from **equity**:

- Markets generate efficiency.
- Governments can **redistribute wealth** (via taxation, transfers, etc.) to achieve more **equitable** starting points.

What if society thinks that some policy, although Pareto efficient, is still unfair?

Theorem 2:
Society can attain any Pareto-efficient outcome by redistributing initial wealth among individuals and then allowing them to freely trade.

Redistribution example (E → I)



13. Potential Pareto Improvements (Kaldor–Hicks Criterion)

Kaldor and Hicks (1939) proposed a broader test:
A change is a **potential Pareto improvement** if those who gain could, in theory, **compensate the losers** and still be better off.

- The "compensation test" focuses on **aggregate net benefits**, not on whether compensation actually happens. (compensation principle refers to potential efficiency gains)
- This allows policies with **winners and losers**, as long as total welfare rises.

Example from slides:

- Net Benefit X_1: +40
- Net Benefit X_2: –20
- **Total Net Benefit:** +20 → potential Pareto improvement.

(Graph above: Welfare improvement from E → G)

14. The Relationship Between the Pareto Framework and Utilitarianism

Although the **Pareto framework** was developed to avoid the ethical and measurement problems of utilitarianism, it still **shares utilitarian roots**.
Both are concerned with **welfare maximization**, but they differ in how welfare is defined and aggregated.

- In utilitarianism, **social welfare (W)** equals the **sum of utilities** of all individuals
- The **Pareto framework** replaces total happiness with **preference satisfaction** – a "thinner" version of welfare grounded in observed choices, not interpersonal comparison.

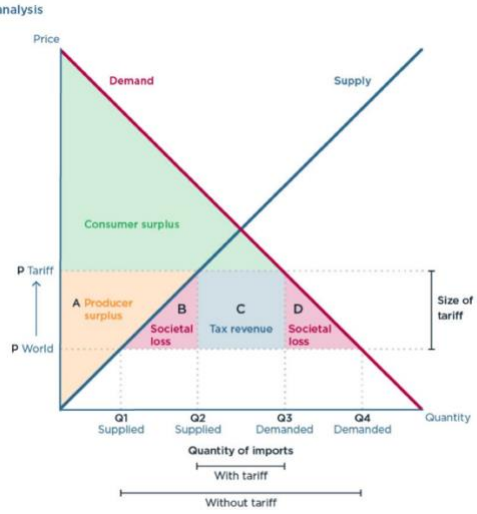
Example – Tariffs and Protectionism in the U.S.:

- When the U.S. imposes a tariff, **domestic producers gain** (area A: producer surplus), while **consumers lose** (A+B+C+D).
- There are **societal losses** (deadweight losses B and D) that outweigh the government's **tax revenue gain (C)**.
- Hence, tariffs **reduce total welfare**, showing that protectionist policies are **Pareto-inefficient**.



Suppose: $W = U_{Consumers} + U_{Producers}$

Analyse the Welfare impact of Protectionism in the U.S.!



15. Key Upshots

1) **Efficiency** is a **fundamental but not exclusive** normative goal of public policy. It guides how resources are best allocated, but it is not the only value – **fairness**, **equity**, and **justice** also matter.
2) **Efficiency regularly collides with fairness.**
   Policymakers must **manage this trade-off**, balancing outcomes that maximize total welfare against those that promote equity. This reflects that policymakers – like economists – are also **moral philosophers** in practice.
3) **Pareto efficiency** is based on a **thinner, less controversial philosophical foundation** than utilitarianism (remember: **minimal benevolence**).
   It has become the **gold standard** for assessing a policy's welfare effects, precisely because it avoids moral and interpersonal judgments.
4) In the **real world**, most policy changes are not perfectly Pareto-efficient, but rather **potential Pareto improvements**.
   This raises an ongoing question: can and will the **losers be compensated** in practice – or does efficiency come at the cost of fairness?

Reading #5

1. The Problem of Winners and Losers

Even policies that raise **average welfare**—like **free trade under NAFTA**—create **distributional conflicts**. Some groups gain while others lose, making it difficult to define what truly serves the **public interest**.
A policy is unambiguously in the public interest only if it makes **at least one person better off without making anyone worse off** — a **Pareto improvement**.

---

2. Pareto Definitions

- **Pareto dominance:** Policy *x* dominates *y* if no one is worse off and at least one person is better off under *x*.
- **Pareto improvement:** Moving from *y* to *x* if *x* Pareto-dominates *y*.
- **Pareto efficiency:** A situation where no further Pareto improvement is possible — any change would harm someone.

These concepts define when a policy outcome can be considered **unambiguously better** for society.

---

3. Pareto Efficiency vs. Pareto Improvements

- A **Pareto-efficient** policy isn't necessarily an **improvement**, since moving from one efficient outcome to another might hurt some people.
- **Efficiency** is a **positive concept** (what cannot be improved further), not a **normative one** (what is desirable).
- Only **Pareto improvements** align directly with the **public interest criterion**.

---

4. Policies as Actions and Transfers

Any policy has two components:

1. A **policy action** — the substantive decision (e.g. adopting free trade instead of tariffs).

2. A **transfer scheme** — redistribution among groups (e.g. compensating workers who lose jobs).
   This distinction allows policymakers to **separate efficiency from equity**: the action maximizes efficiency, while transfers address fairness.

---

5. Quasi-Linearity – Bridging Efficiency and Welfare

Assuming **quasi-linear preferences**—where each dollar provides the same utility to everyone—creates a direct link between **efficiency** and **welfare**.

- Policymakers can first choose the **most efficient policy action** (maximizing total utility).
- Then use **transfers** to **compensate losers**, turning efficiency gains into **Pareto improvements**.
  This connects **utilitarian logic** (maximize total happiness) with **Pareto reasoning** (no one worse off).

🟦 *Illustration:* "Large pie vs. small pie" analogy — the total pie represents total welfare; efficient policies grow the pie, while transfers determine how it's divided.

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6. Limits of the Model ("A Bridge Too Far?")

The efficiency–welfare link depends on assumptions that rarely hold perfectly in reality:

1. **Feasible transfers:** It may be politically or administratively impossible to compensate losers (e.g. **Trade Adjustment Assistance** often fails).
2. **Quasi-linearity:** In reality, **marginal utility of money** varies — a dollar matters more to the poor than the rich.
   When these conditions break down, **efficient policies may not raise welfare for everyone**.

---

7. Relationship to Cost–Benefit Analysis (CBA)

Cost–benefit analysis reflects **utilitarian–Pareto logic**:

- Each person's **willingness to pay** indicates their change in utility.
- If **total benefits exceed total costs**, the policy increases total welfare.
  However, CBA does not ensure **no one is worse off**; it assumes that aggregate gains justify individual losses unless explicit **compensation mechanisms** are built in.

---

8. Are Pareto Improvements Always "Good"?

Even Pareto improvements rest on **consequentialist assumptions** — that outcomes, not intentions, define morality.

Other ethical frameworks (e.g. **rights-based** or **virtue ethics**) may reject some Pareto-improving policies as immoral (e.g. gun ownership or stem cell research).

Thus, Pareto logic simplifies normative conflict but does not eliminate it.

Lecture 6 – Market Failures

1. Introduction: Market Failure as a Deviation from Efficiency

Market failures occur when the free market fails to allocate resources efficiently, **leading to** welfare losses or outcomes that are not Pareto optimal. In such cases, individual rational behavior produces results that are **socially inefficient**, creating a gap between **private and social costs or benefits**.
The lecture identifies four main types of market failure: **externalities, collective action problems, public goods**, and **information asymmetries** (the latter to be covered later).

2. Overprescribing Antibiotics – An Illustrative Case

The **overprescription of antibiotics** illustrates how **individually rational actions** can generate **collective harm**.
Doctors, acting in their patients' immediate interest, prescribe antibiotics frequently because they are cheap and effective in the short term. However, widespread use leads to **antibiotic resistance**, harming society at large.
This case exemplifies a **conflict between individual and collective rationality** – what benefits one person (or their doctor) may **reduce the well-being of others** through **negative externalities**.

3. Externalities

Externalities arise when one person's actions affect another's **well-being outside the market mechanism** – meaning these effects are **not reflected in market prices**.

- **Example of an externality:** Doctors overprescribe antibiotics, leading to **rising antibiotic resistance**, which affects others.
- **Not an externality:** Overprescription merely **bids up medicine prices** – this operates *within* the market mechanism. The key issue is that **external costs or benefits are not internalized** – the decision-maker does not bear (or receive) the full consequences of their actions.

	Prescribe responsibly	Overprescribe
Prescribe responsibly	2,2	-1,3
Overprescribe	3,-1	0*,0* Equilibrium :(

4. Why Don't People Internalize Their Externalities?

(Internalizing = taking external effects into account (so private incentives match social welfare))

Because individuals usually act on **private incentives**, they fail to account for the **social consequences** of their behavior. The antibiotic example again shows how **short-term, private rationality** conflicts with **long-term collective welfare**.
This misalignment creates **market inefficiency** – too much of a harmful activity (negative externality) or too little of a beneficial one (positive externality).

5. Externalities as a Social Dilemma

Externalities can be analyzed as a **"Prisoners' Dilemma."**
Each actor's **dominant strategy** is to act selfishly (defect), even though mutual cooperation would yield higher overall welfare.

In the antibiotic case, both doctors would be better off prescribing responsibly, but **the equilibrium outcome** is that both overprescribe.
This dynamic **shrinks the utility pie** – meaning total welfare is reduced.

- **Negative externalities** (e.g. pollution, overprescribing) → **done too much**
- **Positive externalities** (e.g. education, vaccination) → **done too little**

6. Negative Externalities

Negative externalities lead to overproduction and overconsumption, as private actors ignore the external costs their actions impose.

- **Negative production externalities:** Occur when a firm's production harms others without compensation (e.g. pollution).
- **Negative consumption externalities:** Occur when an individual's consumption reduces others' well-being (e.g. smoking).
  The **social marginal cost (SMC)** is therefore **greater than the private marginal cost (PMC)**, causing the market to produce **beyond the socially optimal quantity**.

7. Positive Externalities

Positive externalities lead to underproduction and underconsumption, as individuals or firms are **not fully rewarded** for the benefits they create for others.

- **Positive production externalities:** When production increases others' welfare but without compensation.
  - Example: Early oil drillers create knowledge that benefits competitors.
- **Positive consumption externalities:** When consumption benefits others.
  - Example: Vaccinations protect others by reducing disease spread.

Because **social marginal benefit (SMB)** exceeds **private marginal benefit (PMB)**, these goods are **underprovided** in the market.

8. Collective Action

Collective action refers to coordinated group efforts to achieve a **common goal** that individuals acting alone could not obtain.
However, when contribution is costly (cost = c) and the benefit (B) is shared among N people, the **incentive to contribute** declines as the group size grows.
An individual's best response is to contribute only if their **incremental benefit exceeds their incremental cost**, which becomes less likely in large groups.
Hence, **as the number of participants increases**, the probability of successfully achieving the collective goal **decreases**.

$$\overbrace{\left[\frac{n+1}{N}-\frac{n}{N}\right]B}^{\text{Incremental Benefit}} \geq \overbrace{c}^{\text{Incremental Cost}}.$$

big effect but big population => small incremental benefit:(=> will fail since costs are going to be higher

9. The Free Rider Problem

The free rider problem, formalized by **Mancur Olson (1965)** in Logic of Collective Action, explains why individuals may **benefit from a collective good without contributing**.

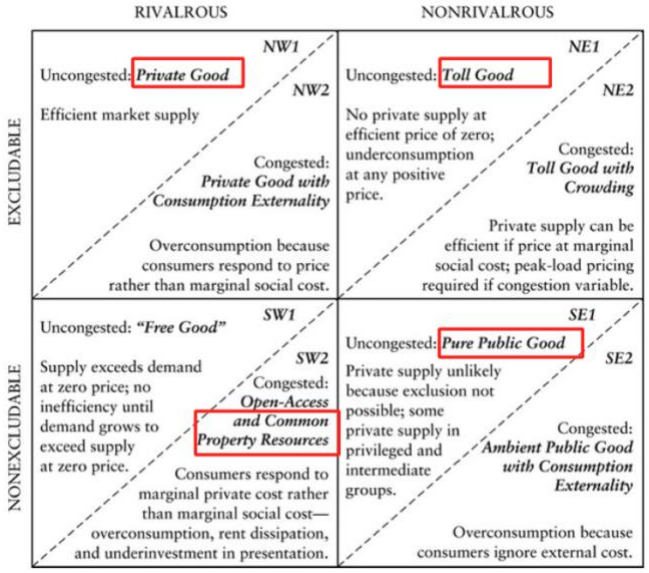
- When **costs are concentrated** but **benefits are dispersed**, rational actors refrain from participating, expecting others to bear the cost.
- This reflects a failure to **internalize positive externalities** of contribution, resulting in **"small-pie" Pareto inefficient outcomes.**
  The problem is especially severe in **large groups**, though some succeed by appealing to **"warm glow" effects** – the satisfaction derived from contributing to a public good even without full efficiency (even if it doesn't fully solve the free rider problem).

10. Public Goods

Public goods exhibit **non-excludability** and **non-rivalry**, distinguishing them from private goods:

- **Non-excludability:** Once provided, no one can be excluded from use (e.g. street lighting, national defense).
- **Non-rivalry:** One person's use does not diminish another's (zero marginal cost of consumption).
  However, **congestibility** may occur when excessive use of public goods introduces **negative externalities** of consumption (e.g. overcrowded roads).

This combination makes public goods **susceptible to free riding**, as individuals rely on others to provide them.



11. Toll Goods

Toll goods are **excludable** (ownership or access can be restricted) but **non-rivalrous in consumption**, meaning one person's use does not significantly reduce the availability for others. Examples include **bridges, tunnels, downtown streets, and internet bandwidth**.

- When there is **no congestion** (marginal social cost of consumption, MSCC = 0), introducing any price or toll creates a **Pareto inefficiency**, because consumers who could benefit without imposing extra cost are excluded.
- However, when **congestion occurs** (MSCC > 0 after a certain quantity, Q), imposing a toll equal to the congestion cost can **restore Pareto efficiency**. This is illustrated by

congestion pricing schemes such as those in **Stockholm or London**, which charge users during peak times to internalize the social cost of congestion.

12. Pure Public Goods

Pure public goods are **non-excludable** and **non-rivalrous**, meaning that no one can be excluded from their use, and one person's consumption does not reduce another's.
Examples include **national defense, lighthouses, public broadcasting, Wikipedia**, and parts of the **Internet**.

- Because of **non-excludability**, public goods are severely affected by **collective action problems**. The **impossibility of excluding free-riders** prevents these goods from being supplied by private markets. As a result, markets fail to provide them efficiently, leading to **Pareto inefficiency**.
- In rare cases, **"privileged groups"** may privately provide such goods – small, cohesive groups with strong incentives or shared interests can overcome the free-rider problem (e.g., Wikipedia volunteers or local associations funding communal goods).

13. Open-Access (or Common-Pool) Goods

Open-access goods are **non-excludable** but **rivalrous**, meaning anyone can use them, but one person's use reduces availability for others.
Examples include **fish stocks, grazing land, irrigation systems, and natural resources like oil or groundwater**.

- This situation gives rise to the **"Tragedy of the Commons"** – when individuals, acting in self-interest, overconsume or underinvest in maintenance, leading to **Pareto-inefficient overuse** and eventual **depletion** of the resource.

Since no one can be excluded, individuals have no incentive to conserve, resulting in **overexploitation**. If usage (Q) must be limited to maintain efficiency, policymakers face the question of **who gains and who loses** from restrictions (i.e., who bears the cost of limiting access).

13a. The "Tragedy of the Commons" – Hardin (1968)

Garrett Hardin's influential paper (1968) describes the **Tragedy of the Commons** as a fundamental moral and institutional problem rather than a purely technical one. Using the example of communal grazing land, he shows how rational individuals acting independently can collectively deplete shared resources.
In the example, farmers decide whether to graze **50 or 100 cows**. Each farmer's dominant strategy is to add more cows, maximizing individual profit even though total welfare declines – ilustrating a **Prisoners' Dilemma**.
The equilibrium (both choosing 100 cows) results in lower overall payoffs (**4,4**) compared to the cooperative outcome (**5,5**), where each limits usage.
Hardin's insight emphasizes the need for **collective restraint or regulation** when managing common resources – technical efficiency alone cannot prevent overuse without moral or institutional limits.

14. Implications of Market Failure for Public Policy

Market failures justify **public policy intervention** to correct inefficiencies and align private incentives with social welfare. Policymakers face the challenge of designing mechanisms that

get individuals to internalize their externalities – that is, to take the full social costs or benefits of their actions into account.
The lecture identifies **five main approaches** to achieve this:

1. **Force of persuasion**
2. **Pigouvian taxes and subsidies**
3. **Direct regulation**
4. **Coasian bargaining**
5. **Decentralized self-governance**

15. The Force of Persuasion

Persuasion relies on **information, education, or moral appeal** to convince individuals to internalize externalities voluntarily. Policymakers might attempt to explain that cooperation benefits everyone; however, because the situation resembles a **Prisoners' Dilemma**, individuals still have an incentive to **free-ride** or **shirk** responsibility.
Even if others contribute to solving the problem, it may not be rational for each individual to do so, since personal gain comes from letting others bear the cost. Therefore, persuasion alone is typically **insufficient**; more **intrusive policy interventions** are often required.

16. Tax vs. Regulatory Solutions to Externalities

Price-based instruments (such as **Pigouvian taxes or subsidies**) make individuals pay or receive compensation equal to the external cost or benefit they impose.

- A **Pigouvian tax** equal to the **marginal damage (MD)** of the externality can correct overproduction or overconsumption.
- Such policies are **generally efficient**, though often considered **"second-best"** due to imperfect information or political constraints.

A **second-best policy** maximizes social welfare considering all real-world constraints – it may not be perfect, but it is **optimal given existing conditions**.

Direct regulation, in contrast, compels firms or individuals to comply with specific limits or standards.

a) Without trade, this approach is **less efficient**, as it may not account for differing costs among firms.
b) When combined with **tradable permits** ("cap and trade"), regulation becomes more **efficient**, since firms can buy and sell rights to pollute or produce, achieving the same outcome at lower overall cost.

17. Market in Externalities: The Coase Theorem and the Farmer–Rancher Example

Ronald Coase's **Theorem** (The Problem of Social Cost, 1960) challenges the view that externalities always require government intervention. It proposes that, under certain conditions, **private bargaining** can internalize externalities and achieve efficiency on its own.

- **Part I:** The party causing and the party affected by an externality can **negotiate voluntarily** to resolve it.
- **Part II:** If **property rights** (legal entitlement to use, control, or benefit from a resource) are clearly defined and **transaction costs** (the costs of negotiating, enforcing, or coordinating an exchange) are negligible, this bargaining will lead to a **Pareto-efficient** outcome, regardless of who initially holds the rights.

In Coase's example, a **rancher's cattle** damage a **farmer's crops**. If **B < C**, ranching should stop; if **B > C**, ranching continues but compensation is optimal. Whether the **farmer** or **rancher** holds the property right, **voluntary bargaining** can achieve the **socially optimal solution**. However, in reality, **high transaction costs**, **unclear rights**, or **unequal bargaining power** often make such bargaining infeasible – showing why government policies are still needed in most cases.

		Property rights assignment	
		Farmer has property right	Rancher has property right
Social optimum	Not Ranching (B<C)	Rancher moves	Farmer pays Rancher more than B to limit output or move
	Ranching (B>C)	Rancher pays Farmer more than C to accept damage or move	Farmer moves





18. Implications of the Coase Theorem

Coase (1960) assumes that **property rights** are clearly defined and **transaction costs** are low. When these hold, private bargaining can internalize externalities efficiently. However, in practice, high costs, unclear rights, or large-scale issues (like global warming) limit this mechanism's effectiveness.

Coase suggested that **governments should focus on reducing transaction costs**, **creating markets for externalities**, and **defining property rights** more clearly to improve efficiency.

19. Problems with Coasean Bargaining in Reality

In real-world scenarios, such as conflicts over shared spaces or rights (e.g., airplane seat disputes), Coasean bargaining often fails because **rights are ambiguous**, **information is incomplete**, or **transaction costs are high**.

20. Self-Governance: Elinor Ostrom's Contribution

Elinor Ostrom (1990) argued that the "**Tragedy of the Commons**" is not inevitable. Communities can successfully manage common-pool resources through **collective self-governance** rather than relying solely on state control or privatization.

Her research showed that when **stakeholders can communicate**, **monitor resource use**, and **create rules fitting local conditions**, they can prevent overuse.

Ostrom's Design Principles

Effective self-governance requires:

1. **Clear boundaries** and **local rule-making**.
2. **Collective decision-making** and **monitoring** by users.
3. **Graduated sanctions** and **conflict-resolution mechanisms**.
4. **Recognition of local institutions** and **multi-level governance**.

   These features promote cooperation and sustainability.

Examples like community-managed **irrigation systems in Switzerland** and **global internet governance (ICANN)** illustrate how shared resources can be successfully managed through institutional design and cooperation.

21. Key Takeaways

1) Externalities cause **deviations from Pareto efficiency**, justifying policy intervention.
2) Public goods are often **undersupplied or overused** without collective action.
3) Market failures provide a rationale for **government involvement**, but Coase and Ostrom show that **limited state intervention** can sometimes work.
4) **Successful self-governance** depends on institutional arrangements that lower transaction costs and align incentives.

Reading #6

The reading reinforces that **policy analysis** seeks to improve public decision-making by identifying when **markets fail** to produce efficient or equitable outcomes.
Market failures arise from **externalities**, **public goods**, **information asymmetries**, and **imperfect competition**, all of which justify potential government intervention.

Weimer and Vining stress that interventions should only occur when their **benefits exceed administrative and compliance costs**, recognizing that governments themselves may fail through inefficiency or poor incentives.

They also revisit **Coase's** idea that clearly defined **property rights** and low **transaction costs** can enable private bargaining to internalize externalities, and **Ostrom's** finding that communities can design effective self-governance institutions.

Overall, the reading complements the lecture by framing market failure not as automatic justification for state action but as a **signal to assess the most efficient institutional response** – whether through the **market**, **government**, or **collective self-organization**.

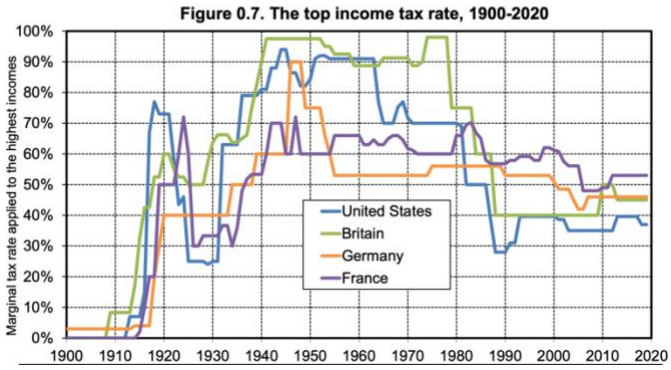
Lecture 8 – Fairness

1. Inequality and Redistribution

Income inequality has shifted considerably across the 20th and 21st centuries. The **graph on top income shares (1900–2023)** shows a decline in inequality during the mid-20th century, followed by a sharp rise since the 1980s, particularly in **Anglo-Saxon countries**.
Similarly, **top marginal tax rates** fell significantly after 1980, reflecting changing political and economic priorities.

The **OECD redistributive spending graph** highlights large differences in government transfers: **Nordic and Western European countries** spend the most relative to GDP, while **Mexico** and **Turkey** spend the least. (Graph of public social spending as a % of GDP)

Top Marginal Tax Rates 1900-2020
USA



Dividing the the Income Pie 1900-2023
Within-country income inequality



2. Welfare State Regimes

Three main welfare models represent distinct ideological conceptions of fairness:

- **Liberal Regimes** (e.g., U.S., Canada, Australia):
  Stress **individualism and market mechanisms**. Welfare is limited and targeted, acting mainly as a safety net.
- **Corporatist Regimes** (e.g., Germany, France, Italy):
  Tie welfare to **employment and family roles**, reinforcing traditional social structures and preserving class hierarchy.
- **Social-Democratic Regimes** (e.g., Sweden, Denmark, Norway):
  Promote **universal rights and equality** through extensive public welfare and redistribution, aiming for **decommodification** – reducing dependence on the market for security.

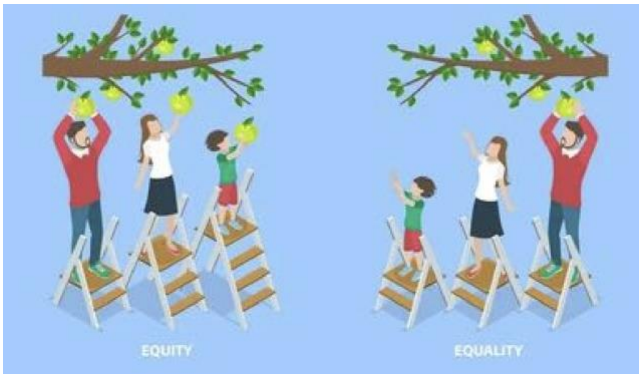
These regimes illustrate how different societies balance **state responsibility**, **solidarity**, and **efficiency** in the pursuit of fairness.

Welfare regime	Ideological goal	Main provider of welfare	Workforce emancipation from the labour market	Degree of stratification	Allocation of social rights	Involvement of the state in providing welfare	Historical political coalitions	Archetypical examples
Liberal	To promote individualism and **traditional work ethic** through the labour market.	The labour market (individual)	**Lowest** – welfare benefits are directly tied to participation in the labour market.	**Moderate**, with class dualism between the poor state welfare recipients, and the majority who secure insurance via the private sector.	Market differentiated – based on individual needs and means-tests.	**Residual**, providing only a "safety net" at the margin.	Right-wing dominant	United States, Canada, Australia.
Corporatist	To promote traditional values such as **familyhood**, preserve class differentials and legitimize the central authority.	Kinship (family)	**Low** – welfare benefits are tied to employment, although to a lesser extent than in the liberal model.	**Highest**, due to prioritizing the preservation of class politics.	Based on class strata and tied to contributions.	**Central** – private welfare providers are crowded out.	Conservative, traditional, Catholic influence	Austria, France, Germany, Italy.
Social-democratic	To promote **equality** of rights and benefits enjoyed by all members of society.	State	**High**, due to the presence of labour unions and welfare benefits being largely independent of employment, but regime still reliant on production through passive labour market policies.	**Lowest**, with the focus being equality of rights, benefits and status.	Universal, egalitarian access to rights.	**Main provider**	Left-wing dominant	Sweden, Norway, Denmark.

3. Efficiency–Fairness Trade-off

Public policy constantly faces a tension between **efficiency** (maximizing total welfare) and **fairness** (distributing welfare equitably).

- **Equality** provides the same outcomes to everyone.
- **Equity** adjusts outcomes based on differences in need or contribution.



4. Individual Inequality Aversion

Individuals often prefer fairer outcomes even at a personal cost. This tendency is called **inequality aversion**.

- **Disadvantageous inequality:** discomfort from earning less than others.
- **Advantageous inequality:** discomfort from earning more than others.

The **Fehr–Schmidt model** expresses this through:

- **α (alpha):** sensitivity to being worse off,
- **δ (delta):** sensitivity to being better off (where $\delta < \alpha$).

5. Social Inequality Aversion and Welfare Functions

At the collective level, **social welfare functions (SWFs)** express how societies value the distribution of welfare.

The **isoelastic SWF** introduces the **inequality aversion parameter (η)**, which captures how the **marginal utility of income** declines as income rises.

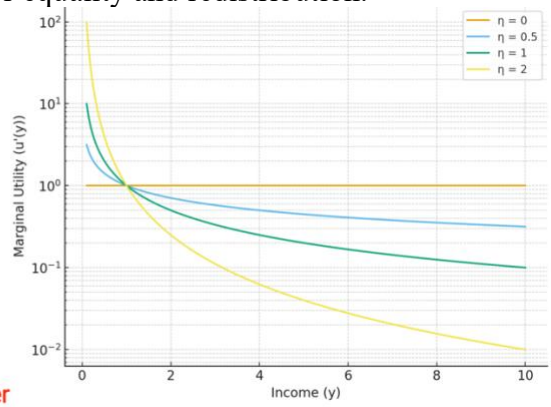
- Higher **η** means stronger preference for equality and redistribution.

for $\eta \neq 1$, and

$$W = \sum_i \ln(y_i)$$

for $\eta = 1$.

y_i = income or consumption
η = inequality aversion parameter (= the elasticity of the social marginal utility of income/consumption)

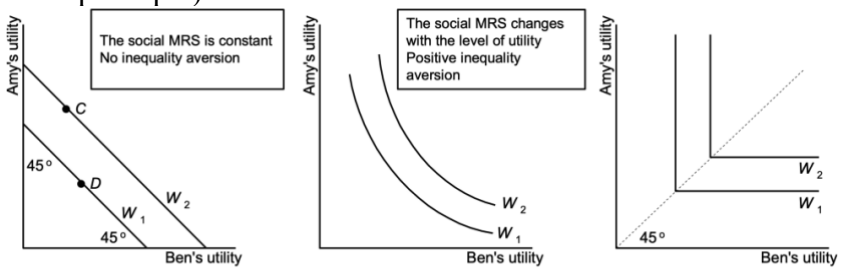


The higher the value of η, the faster the rate at which marginal utility falls!

5. Social Indifference Curves

Different SWFs reflect varying societal attitudes toward inequality:

1. **Utilitarian ($\eta = 0$):** No inequality aversion; maximizes total welfare.
2. **Weighted Utilitarian ($\eta > 0$):** Some inequality aversion; balances fairness and efficiency.
3. **Rawlsian ($\eta \to \infty$):** Complete inequality aversion; maximizes welfare of the least well-off (max–min principle).



(a) Additive utilitarian SWF

(b) Weighted additive utilities SWF

(c) Rawlsian SWF

$\eta = 0$: complete inequality neutrality

$\eta > 0$: some inequality aversion

$\eta = \infty$: total inequality aversion

6. John Rawls's Theory of Justice (1971)

John Rawls, a U.S. liberal analytical philosopher, presented one of the most influential accounts of a just society. His *Theory of Justice* (1971, rev. 1999) defines **liberal egalitarianism**, emphasizing fairness as the moral foundation of institutions.

Rawls argues that inequalities are acceptable only if they benefit everyone, especially the **least advantaged**. His ideas remain central to contemporary debates on **redistribution** and the **moral justification of welfare policies**.

7. Rawls's Two Principles of Justice

1. **Equal Liberty Principle**
   Every individual has an equal right to the most extensive system of **basic liberties** compatible with the same liberties for all.
2. **Difference Principle and Fair Equality of Opportunity**
   Economic and social inequalities are acceptable only if they
   - are attached to positions open under conditions of **fair equality of opportunity**, and
   - work **to the greatest benefit of the least advantaged**.

   → This second condition is the **Difference Principle**, prioritizing improvement of outcomes for society's poorest members.

8. The Original Position and the Veil of Ignorance

Rawls's thought experiment imagines people designing social rules without knowing their own future status, wealth, or talents.

Rational actors would choose institutions that make the **worst-off position as good as possible**, ensuring fairness regardless of personal circumstance.

This reasoning leads to the **maximin rule** – maximizing the minimal (worst possible) outcome.

- **Rawls** prioritizes fairness → chooses **D** (best for the least advantaged).
- **Bentham** prioritizes efficiency → chooses **C or D** (highest total welfare).

Society	Red	Blue	Green	Average Income
A	100	100	100	100
B	150	100	50	100
C	600	600	99	433
D	1096	102	101	433

9. The "Leaky Bucket" Experiment (A. Okun, 1975)

Arthur Okun illustrated the **efficiency–equality trade-off** using the metaphor of a *leaky bucket*: transferring €1 from a rich person to a poor person loses some value due to

- administrative costs,
- **deadweight loss** from taxation, and
- **moral hazard** (reduced labor supply).

If a society exhibits strong **inequality aversion**, it accepts higher "leakage" because the welfare gain to the poor outweighs efficiency losses.

10. Policy Implications of Inequality Aversion

Balancing fairness and efficiency guides practical policymaking.
The slide comparing **Bentham, Pareto, and Rawls** links economic efficiency with moral perspectives:

- **Bentham:** maximize total utility (utilitarian).
- **Pareto:** accept only improvements that make someone better off without hurting others.
- **Rawls:** prefer distributions improving the position of the least advantaged (difference principle).

11. Policies That Increase Both Efficiency and Fairness

Examples discussed include:

- Strengthening **antitrust laws**.
- Regulating **executive compensation** in finance.
- Enhancing **transparency in lobbying**.
- Reforming **tax policies** (e.g., capital gains).
- Improving **public education** and **health literacy**.

These policies aim to reduce structural inequality while enhancing productivity.

12. Case Study: Health Literacy

According to the **World Health Organization**, health literacy involves the cognitive and social skills that enable individuals to access, understand, and use information to maintain good health.
The cross-country comparison shows large disparities: countries like Latvia and Lithuania have high shares of inadequate or problematic health literacy, while Netherlands and Germany perform better.

Efficiency Costs of Low Health Literacy:

- More frequent doctor visits and hospitalizations.
- Longer hospital stays and higher emergency use.
- Under-utilization of preventive care.

Equity Costs of Low Health Literacy:

- Unequal access to health information and outcomes.

- Evidence suggests literacy mediates socio-economic disparities in health (education, age, income, race/ethnicity).

→ Thus, improving health literacy enhances **efficiency** (reducing healthcare costs) and **fairness** (equalizing health outcomes).

13. Key Takeaways

1. The intersection between efficiency and equality is non-empty. Both can be improved jointly.
2. Liberal egalitarians accept inequalities if they work to the advantage of people who happened to be born at the wrong time in the wrong place with the wrong skills & talents.
3. How exactly efficiency and equality will be combined in public policy is unavoidably a matter of politics. The contribution of the economist is to identify and set straight the relevant trade-offs.

Reading #8

1. Social Welfare Functions (Beyond Pareto)

The reading expands on welfare evaluation by introducing **explicit social welfare functions**, which *go beyond Pareto-efficiency*.

New concepts include:

- **Utilitarian welfare function**: sums utilities. It reflects the "greatest good," not "the greatest good for the greatest number." It underlies cost–benefit analysis.
- **Rawlsian (maximin) welfare function**: evaluates allocations based on the welfare of the worst-off individual. Strongly redistributive.
- **Multiplicative welfare function**: avoids very low individual outcomes by penalizing near-zero utilities.

Key idea: **Pareto efficiency alone cannot tell us which efficient allocation is "best."** Welfare functions impose ethical structure on ranking outcomes.

The reading also highlights **practical problems**: utilities cannot be observed, interpersonal comparisons are impossible, and society cannot agree on a single welfare function.

This is new relative to the slides: the reading engages deeply with the *limitations* and *conceptual challenges* of using welfare functions in real policy analysis.

---

2. Institutional vs. Allocation-Based Views

A major new insight: instead of deciding the *best allocation* directly, society can choose the *institutions* that generate allocations.

This includes:

- **Constitutional design perspective**: norms and procedural rules matter more than individual policy outcomes.
- **Rule utilitarianism**: an act is correct if it adheres to rules that maximize long-term social utility, even if the act alone is not utility-maximizing.

Example:

Giving disaster relief may increase short-run welfare (**act utilitarianism**), but may create future **moral hazard**, making it undesirable under **rule utilitarianism**.

This focus on how institutions shape incentives is a **major conceptual expansion** not covered in lecture slides.

3. Human Dignity and Minimum Consumption Floors

The reading develops **equity of opportunity** and **consumption floors** much more fully than the slides.

New ideas:

- Ensuring dignity may require **guaranteed minimum consumption**, not equality.
- Participation in markets requires a minimum **endowment of assets**, otherwise individuals have "no choice" in practice.
- Policies such as job training, remedial education, and anti-discrimination laws expand **effective participation**, not just redistribute wealth.

The reading also discusses **paternalism** (e.g., preventing children or impaired adults from harming themselves) as part of protecting human dignity — also not in slides.

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4. Equality of Outcomes – Dynamic Problems

The reading expands on equality with concepts not in slides:

- Equality of outcomes must consider **incentive effects** — full equalization destroys incentives and shrinks total wealth.
- **CEO compensation explosion** and bargaining problems are framed as **public goods problems**:
  - Weak unions → underprovided worker bargaining
  - Dispersed shareholders → under-monitored executives
- The "**leaky bucket**" metaphor (Okun): redistribution loses efficiency the more you try to reallocate.

All of these are new and deepen understanding of redistributive policies.

---

5. Measurement and Index Problems

The reading adds a large set of *technical issues* that the slides don't cover:

Income measurement issues

- **Imputed income** from owner-occupied housing.
- Distortions from **tax deductions**, **in-kind transfers**, and **means-testing**.
- The mismatch between **household income** vs. **per capita income**, especially due to demographics (divorce, women's labor force participation).

Inequality indices

- The **Gini coefficient** and the **Lorenz curve** are explained in detail.
- When Gini is *not* appropriate: sometimes we care only about the poor, not the whole distribution.
- Alternative measures:
  - income share of lowest quintile
  - cost of eliminating poverty

These problems matter because **distributional analysis depends on correct measurement**, not just moral judgment.

---

6. Categorization & "Silent Losers"

New and important concepts:

Categorization problems
Group comparisons (e.g., by race or gender) may mislead because groups differ on many dimensions (education, age structure, family size).

Silent losers
A major conceptual addition: some groups harmed by policy remain unseen because they:

1. **Don't know they're harmed**
   (future renters under rent control)
2. **Don't connect the harm to the policy**
   (workers losing jobs due to oil price controls)
3. **Don't yet exist**
   (future generations under climate change)

Slides do not cover this but it is crucial for realistic policy analysis.

---

7. Instrumental Values – Political Feasibility & Budget

The reading elaborates on instrumental values:

- **Political feasibility** often shaped by distributional consequences, even when those distributions don't match any moral theory.
- **Expenditure levels** have symbolic meaning ("war on drugs" spending).
- Agencies face **strict resource constraints**, shaping policy design independently of values.

This is new: slides touched on values but not on **instrumental constraints**.

Lecture 9 – Government Failures

1. Why Governments Fail

Governments are expected to promote the social good by choosing and implementing efficient and fair **policy alternatives**. However, real political systems face structural limits and incentive problems. Policymaking is embedded in institutions that can distort outcomes, preventing government from acting like a benevolent "social planner."

Failures arise when **preference aggregation**, political incentives, or administrative structures prevent policies from reflecting coherent **social preferences** or **maximizing welfare**.

2. Main Drivers of Government Failure

2.1 Preference Aggregation Problems

Public decisions require aggregating individual preferences into a single **social preference** or **rank ordering** of alternatives. A theoretical **social welfare function** (SWF) is supposed to take individual inputs and produce a consistent social choice that represents the "**will of the people**."

However, aggregation is often **incoherent**. Different procedures can produce **intransitive** social preferences, meaning society prefers X to Y, Y to Z, and Z to X.

When the collective outcome violates **transitivity**, there is no stable social choice, and the government cannot clearly identify what society wants. This creates a fundamental government failure because even fully democratic input cannot guarantee coherent output.

2.2 Rent Seeking

Organized interests attempt to secure **non-market rents** – advantages obtained not through productive efficiency but through influence over the political process.
They use **lobbying**, meaning they try to shape **policy alternatives** or the government's **rank ordering** of options by applying political pressure.
Rent seeking diverts public resources toward narrow interests, reducing **overall welfare** and distorting policy priorities away from the social good.

2.3 District-Based Representation

Because elected officials represent **geographical districts**, they have incentives to prioritize **local** rather than **national** welfare.
This leads to **pork-barrel spending**: politicians support projects (bridges, subsidies, local construction) that benefit their constituency even if the **policy alternative** is inefficient from a national perspective.
When all representatives behave this way, the result is excessive spending on low-value projects driven by distributive competition rather than coherent social preferences.

2.4 Policy Myopia

Decision-makers operate within short **electoral time horizons**.
They prefer policy alternatives that provide **immediate, visible payoffs** and underestimate the value of long-term benefits.
This produces systematic underinvestment in areas like climate mitigation, infrastructure, and preventive health – failure caused by the temporal structure of political incentives.

2.5 Bureaucratic Failure

Bureaucrats may have different objectives than elected officials.
Their incentives can favor budget maximization, risk avoidance, or administrative expansion rather than efficient policy **implementation**.
Misalignment between political goals and bureaucratic behavior reduces **policy effectiveness** and generates inefficiencies even when the selected **policy alternative** is socially desirable.

2.6 Fiscal Externalities

Local jurisdictions compete for mobile taxpayers by reducing taxes, generating a **race to the bottom**.
Individually, each district benefits from lower tax burdens, but collectively these choices create **negative externalities** by shrinking the national tax base and undermining the provision of essential public goods.

3. Preference Aggregation in Practice

The lecture shows that specific decision rules fail to produce stable or fair **social preferences**.

3.1 Pairwise Majority Voting (PMV)

PMV compares policy alternatives **two at a time**.
Although intuitive, PMV can generate **Condorcet cycles**, where pairwise majorities conflict.
Example:

- A majority prefers X > Y

- A majority prefers Y > Z
- A majority prefers Z > X

The resulting **social preference** is **intransitive**, so the collective ranking cannot guide consistent policy.
Agenda-setters can exploit this by structuring the sequence of votes to manipulate outcomes.

3.2 Borda Count

Here, alternatives receive points according to their rank positions (If there are k alternatives, each person's first choice gets k−1 points, each person's second choice gets k−2 points, and so on, with each person's last choice getting 0 points). The alternative with the highest point total wins.

Although Borda Count produces a complete **rank ordering**, it violates **Independence of Irrelevant Alternatives (IIA)**: the social ranking between X and Y can change simply because voters reorder irrelevant alternatives (like Z).
This makes outcomes sensitive to strategic manipulation of ballots and undermines the reliability of the resulting **social preference**.

4. Criteria for a "Good" Aggregation Procedure

4.1 Transitivity

A well-functioning aggregation rule must yield **transitive** social preferences.
If society's ranking becomes cyclical, the "public will" is undefined, and policy becomes unstable => social preference is intransitive (Condorcet Paradox)

4.2 Unanimity

If every individual prefers X to Y, the **social preference** must also rank X above Y.
However, procedures such as sequential run-off voting (in each round, one alternative is **eliminated**, and the winner moves on to face the next alternative. The final social choice depends on the **sequence** of comparisons) can violate **unanimity**, because an alternative preferred by everyone can still lose if the sequence is unfavorable.

4.3 Independence of Irrelevant Alternatives (IIA)

Preferences between X and Y should not depend on positions of irrelevant alternatives (Z).
Violations of IIA – as shown in the Borda Count examples – demonstrate how easily collective decisions can be distorted.

Consider again the Borda Count:

$A >_1 B >_1 C >_1 D$

$B >_2 A >_2 C >_2 D$

$B >_3 A >_3 C >_3 D$

(B = 8, A = 7, C = 3, D = 0)

Now, suppose voter 1 moves B from second place to last:

$A >_1 C >_1 D >_1 B$

$B >_2 A >_2 C >_2 D$

$B >_3 A >_3 C >_3 D$

(A = 7, B = 6, C = 4, D = 1)

But: Nothing has changed regarding the individual rankings of A and B!! The only difference? For V1, C and D are now "between" A and B.

These problems illustrate why aggregating preferences into a single **social welfare function** is not straightforward.

5. Arrow's "General Possibility Theorem"

Arrow's theorem asks a fundamental question: Which aggregation procedure guarantees a coherent social preference?
A **social welfare function (SWF)** aggregates individual preferences into a **social preference**, ideally satisfying three key conditions that define a "good" rule:

- **Transitivity** (if society prefers $x > y$ and $y > z$, it must prefer $x > z$).
- **Unanimity** (if everyone prefers $x > y$, society must rank $x > y$).
- **Independence of Irrelevant Alternatives (IIA)** (the ranking between x and y should depend only on preferences over x and y).

Arrow's theorem states:
If there are at least two people and at least three policy alternatives, no non-dictatorial social welfare function can satisfy transitivity, unanimity, and IIA simultaneously.
This means that even when individuals have rational, transitive preferences, once we aggregate them, **social preferences may become intransitive** (preference cycles).
This challenges the idea of a coherent **"will of the people."**

The slides highlight that **democracy can produce cycles**, implying that majority voting does not always generate stable or rational outcomes.
The mention of **William Riker** and the "social choice" critique emphasizes that democratic outcomes can be strategically manipulated due to agenda setting.

6. Real-World Example: Brexit Preference Cycles

The Brexit polls (Remain, May Deal, No Deal) show a real-world instance of **cyclical social preferences**, mirroring Arrow's theorem:

1. **R > D** (Remain beats No Deal)
2. **N > R** (No Deal beats Remain)
3. **D > N** (May Deal beats No Deal)

This is a **Condorcet cycle**: every option is beaten by another.
Even with millions of voters, **society may not have a single, stable "top choice."**
This illustrates that preference aggregation problems are not abstract – they occur in major policy debates.

7. Rent Seeking

Rent seeking occurs when actors gain economic benefits by **influencing the policy process**, rather than through competitive markets.
This includes **activities like:**

- lobbying for tariffs
- occupational licensing
- quotas
- subsidies

Rent seeking is **injurious to the vast majority** because benefits are **concentrated**, while costs are **diffuse**.

This ties into **Wilson's typology**:

- **Interest group politics** (concentrated benefits, concentrated costs)
- **Clientelistic politics** (concentrated benefits, diffuse costs)

In **clientelistic politics**, a small group receives large benefits, while society bears small but widespread costs.

Table 2.2 Wilson's typology.

Costs	*Benefits Concentrated*	*Diffuse*
Concentrated	Interest group politics ('zero-sum game')	Entrepreneurial politics
Diffuse	Clientelistic politics	Majoritarian politics

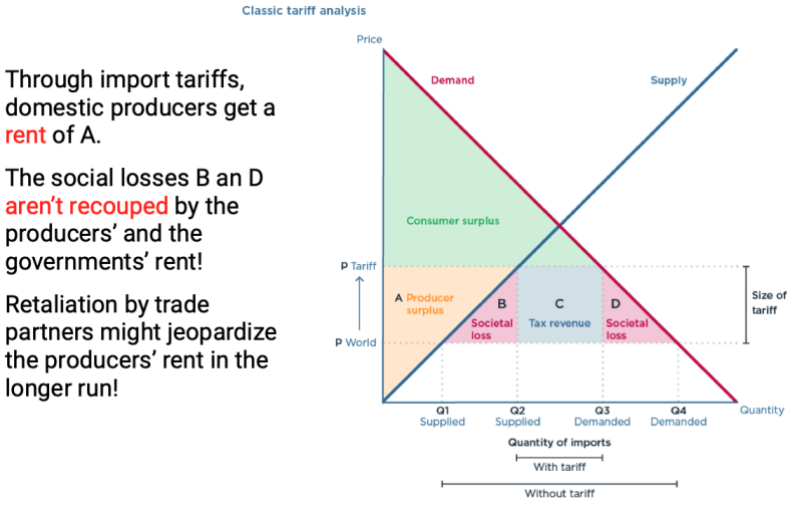
8. Rent Seeking Through Tariffs

The tariff diagram illustrates how domestic producers obtain a **rent (area A)** due to artificially higher prices.

However:

- Areas **B and D** represent **societal losses** that are not recouped.
- Area **C** is tax revenue, but still insufficient to offset total losses.
- Retaliation by trade partners may eliminate even the producers' rent.

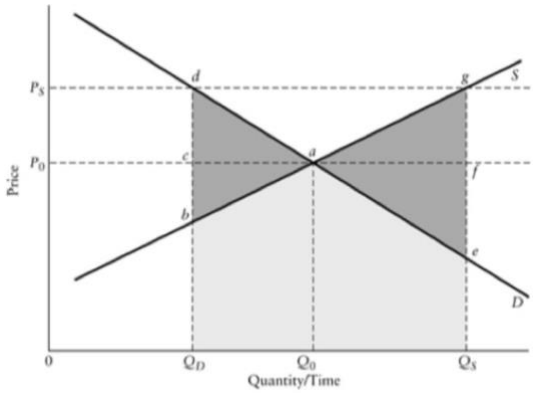
Thus, tariffs are **inefficient** and classic examples of policy distorted by rent-seeking interests.



9. Rent Seeking Through Price Floors

A price floor at P_s gives producers a **rent equal to area P_sP_0cd**.
But the welfare impacts depend on how the government handles excess supply:

1. **Production quota** → welfare loss = *–abd*
2. **Government purchase + distribution** → *–aeg*
3. **Government purchase + destruction** → *–QdagQ$_s$*

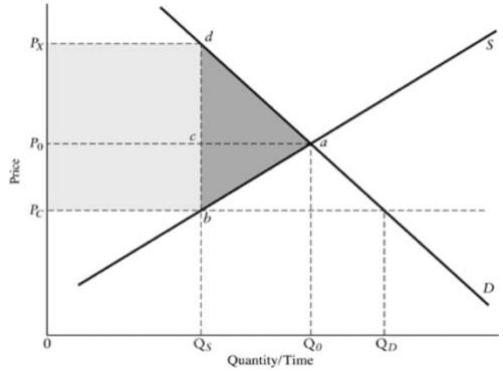


Transitional Gains Trap:
Even if a policy is harmful, removing it may hurt current beneficiaries (e.g., landowners), making reform politically difficult.
This is a classic **government failure driven by political constraints**.

10. Rent Seeking Through Price Ceilings

With a price ceiling at **$P_{(C)}$c$_{)}$**, consumers receive a **rent of $P_0P_{(C)}$bc**.
But the welfare impact is **negative**:

- Best case: loss of consumer + producer surplus.
- Worst case: consumers dissipate their surplus by spending time/effort fighting for scarce goods (e.g., waiting lines).



The slides highlight a **fairness impact** question:
A policy intended to help consumers often ends up being inequitable, because access goes to those with time, connections, or luck.

11. Key Takeaways

1) Public policy is not made by a **Pareto improving machine**. Policymakers operate with limited information and incentives.
2) Government failure arises from **technological and incentive constraints**.
3) Even well-intentioned interventions may fall short of correcting market failures.
4) Policy is a **second-best environment**—outcomes cannot be judged against ideal theoretical benchmarks.
5) To understand real policy outcomes, one must understand **the politics of the policymaking process**.
6) Leaders must work within constraints from both **markets and government**.

Reading #9

1. The Deep Logic of Government Failure Is Multi-Layered

The text emphasizes that *unlike market failure*, there is no single unified theory of government failure. Instead, the analyst must stitch together insights from:

- **Social choice theory** (voting rules → incoherence)
- **Public choice theory** (self-interested representatives)
- **Organizational behavior** (bureaucratic incentives)

- **Fiscal federalism** (coordination issues in decentralized systems)

Your slides mention only high-level political failures — the reading gives a richer analytical *architecture* behind them.

---

2. *Sophisticated voting*

This is **NOT** in your slides, but the book stresses it as a crucial extension of the paradox of voting.

- Voters may *lie about their true preferences* in early rounds of sequential voting
- The goal: **manipulate the agenda** so that the final outcome is closer to their preferred option
- This can completely overturn "the will of the people" even more dramatically than the basic Condorcet cycle

This expands the slide concept of **agenda control** by showing that manipulation does not require power — just strategy.

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3. *Preference Intensity Problem*

Voting systems **cannot express intensity** — only rank order.

A majority that cares *slightly* about an issue can politically defeat a minority that cares *enormously*.

This produces:

- **Pareto-inefficient outcomes**
- Policies where total harm > total benefit
- "Tyranny of the majority"

Slides mention "majority rule issues," but *not this deeper mechanism*.

---

4. *Bundling problem in elections*

Not in slides, but critical.

Because representatives offer *policy bundles*, a winning candidate might:

- Hold the minority position on *every single issue*
- Still win because different groups support different parts of the bundle

This directly undermines the slide concept of **"rank ordering alternatives"** because voters choose bundles, not individual policies.

---

5. Legislative Myopia (Short Time Horizons)

The reading introduces a sharp insight:

- Representatives discount the future more heavily than society does
- They prefer **policies with visible short-run benefits and long-run hidden costs**

This is linked to elections, not part of your slides, and helps explain:

- chronic budget deficits
- underinvestment in long-term infrastructure
- overinvestment in short-term pork

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6. Sunk-Cost Political Trap

Economists ignore sunk costs.
Politicians do not.
Because:

- admitting mistakes is punished
- abandoning ongoing projects looks like failure
- "We've already spent so much!" becomes a political argument

This is a political pathology that slides do not discuss, but it deeply distorts policy evaluation.

---

7. *Policy Windows & Agenda Surfing*

The reading (via Kingdon) adds detail missing from the slides:

- Politicians wait for "windows" created by media attention or shocks
- They often propose **symbolic or rushed policies** simply to appear responsive
- The agenda is driven by *media salience*, not social value

Thus, social welfare functions are disrupted not only by voting flaws but by attention cycles.

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8. *Rent-seeking costs include dissipation*

Slides mention rent-seeking but the reading gives deeper mechanisms:

- Competing interest groups may spend resources **equal to or greater than the value of the rents**
- So the *net social waste* can exceed the rent itself
- Transitional gains trap: once rents get capitalized into asset values (e.g., farmland prices), removing the rent harms innocent owners

This explains persistent inefficiency far beyond the slide explanation.

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9. *Silent Losers Problem*

A new idea: when costs are:

- diffuse
- delayed
- hard to observe

…then the harmed group never mobilizes, even though total harm exceeds total benefit.
Examples include:

- price ceilings
- environmental regulations that raise unemployment
- industry-specific subsidies

This explains the **political invisibility of social cost**, missing from the slides.

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10. *Principal–Agent Problem in Bureaucracies*

Slides mention bureaucratic inefficiency, but the reading adds:

- Agencies maximize **slack**, not budgets (extra staff, perks, low workload)
- They hide discretionary budgets because returning funds would reveal true costs → budget cuts
- Public agencies cannot be disciplined by competition or profit motives

This is a deeper explanation than the slides' simple "bureaucracy is inefficient."

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11. Output valuation problem in public agencies

Because public goods (e.g., national security, safety) have no market price:

- It is hard to measure benefits
- Hard to set optimal budgets
- Impossible to reward bureaucracies based on performance

This is a structural failure, not mentioned in slides.

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12. Distributional Complexity of Public Outputs

Private firms ignore *who* buys their goods.
Public agencies must care.
Conflicts arise between:

- efficiency
- horizontal equity
- vertical equity

Public programs must simultaneously optimize multiple social welfare function criteria → practical impossibility.